Bridgepath Capital
Invest to Achieve

Monthly Economic Report

August 2020

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LIST OF ACRONYMS

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AfDB	African Development Bank
BHL:	Blantyre Hotels Plc
COVID-19:	Coronavirus disease
DSI:	Domestic Share Index
EIU:	Economic Intelligence Unit
EUR:	Euro
FISP:	Farm Input Subsidy Program
FMBCH:	FMB Capital Holdings Plc
FSI:	Foreign Share Index
G20	Group of 20
GBP:	British Pound
GDP:	Gross Domestic Product
ICAEW:	Institute of Chartered Accountants in England and Wales
IMF:	International Monetary Fund
MASI:	Malawi All Share Index
MB/D	Millions of Barrels per Day
MK/K:	Malawi Kwacha
M-O-M:	Month-on-month
MPC:	Monetary Policy Committee
MSE:	Malawi Stock Exchange
MVAC:	Malawi Vulnerability Assessment Committee
NBM:	National Bank of Malawi Plc
NICO:	NICO Holdings Plc
NITL:	National Investment Trust Plc
NSO:	National Statistical Office
OPEC:	Organization of the Petroleum Exporting Countries
PCL:	Press Corporation Plc
RBM:	Reserve Bank of Malawi
SSA:	Sub Saharan Africa
Sunbird:	Sunbird Tourism Plc
TB:	Treasury Bill
TC:	Tobacco Commission
TNM:	Telekom Networks Malawi Plc
TN	Treasury Note
WEO:	World Economic Outlook
UK:	United Kingdom
USA:	United States of America
USD:	United States Dollar
Y-O-Y:	Year-on-year
YTD:	Year-to-date
ZAR:	South African Rand

Executive Summary

EXECUTIVE SUMMARY

Inflation

Headline inflation for July 2020 decreased to 8.0% from 8.5% in June 2020 as food inflation eased to 12.2% from 13.4% during the period. This may be because of excess supply of maize this year, which makes up a large share of the basket of goods for the Consumer Price Index (CPI). Non-food inflation decreased marginally to 4.4% in August 2020. The Reserve Bank of Malawi projects headline inflation to average 9.8% in 2020 while the Economic Intelligence Unit project a higher average at 10.5%. The inflation rate is expected to increase in the following months as the lean period starts.

Exchange Rates

The Kwacha slipped to K754.71 per USD in August 2020 from K744.74 per USD in July 2020. Although the EIU projected that the currency would depreciate, it is not likely to average their 2020 projected average of K770.10 per USD. Reduction in tobacco revenue and a widening current account deficit should lead to more depreciation of the currency, although this will be mitigated by the country's foreign exchange reserves. The country's reserves are at USD642.82 million, according to the latest figures from the RBM, and these translate to an import cover of 3.08 months. The currency is expected to average at K795.5 per USD in 2021, according to EIU.

Fiscal Policy

The fiscal deficit is expected to worsen in the second half of the year as the World Bank expects the major impacts of the COVID-19 pandemic to be felt in the fourth quarter of 2020. According to the State of the Nation Address (SONA) held on 4 September 2020, cumulative public debt is at K4.1 trillion, which is 59% of nominal GDP. This is likely to worsen as the government increase expenditure in health, while tax revenues decrease.

Monetary Policy

The policy rate remains at 13.5% and the Lombard rate has also been set at 0.2 percentage points above the policy rate. Likewise, the Liquidity Reserve Requirement ratio on both local and foreign currency deposits is still at 3.5%. The policy stance is expected to contain inflation in the country as lowering the policy rate would increase inflationary pressure.

Tobacco Market

According to AHL Malawi and Tobacco Commission, there is a 45.95% decrease in the year-on-year total revenue realised from Tobacco. The cumulative revenue at the end of July 2020 was USD165 million. This will have a significant impact on the country's exchange rate as Tobacco is the county's main export.

Economic Growth

The country is expected to have a real economic growth rate of 1.9% according to the Government of Malawi (GoM). This projection is close to the 2.0% from the World bank but lower than the 1.3% growth projected by the African Development Bank (ADB). The International Monetary Fund (IMF) projects Malawi's growth to be 1.0% in 2020. The coronavirus pandemic has led to downward revision of the projections.

Economic overview

ECONOMIC OVERVIEW

Headline inflation falls to 8.0% in July 2020 from 8.5% in June 2020, mostly due to declines in food prices

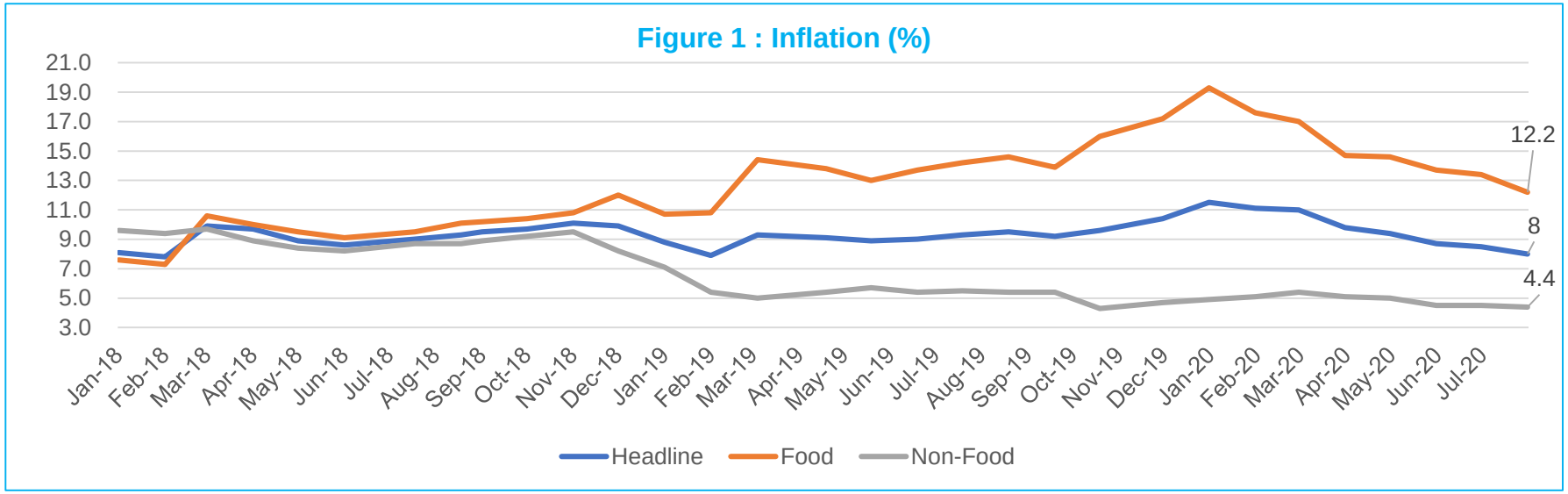
INFLATION (Source: NSO)

The headline inflation, which has been decreasing in the last 6 months, fell to 8.0% in July 2020 from 8.5% in June 2020. The decrease was mainly due to the fall in the food inflation to 12.2% from 13.4% during this period. In addition, there was also a marginal decrease in non-food inflation to 4.4% from 4.5%. However, headline inflation is likely to increase in the following months as we approach the lean season and oil prices recover. The table below summarizes the inflation rates during the period while the graph illustrates the trend from January 2018 to July 2020.

	July-2020	June-2020	July-2019	m-o-m % Change	y-o-y % Change
Headline	8.0%	8.5%	9.3%	↓ -6.25%	↓ -13.98%
Food	12.2%	13.4%	14.2%	↓ -9.84%	↓ -14.08%
Non-food	4.4%	4.5%	5.5%	↓ -2.27%	↓ -20.00%

Table 1: Inflation (%)

Headline inflation has been decreasing from 11.5% in December 2019 to 8.0% in July 2020.

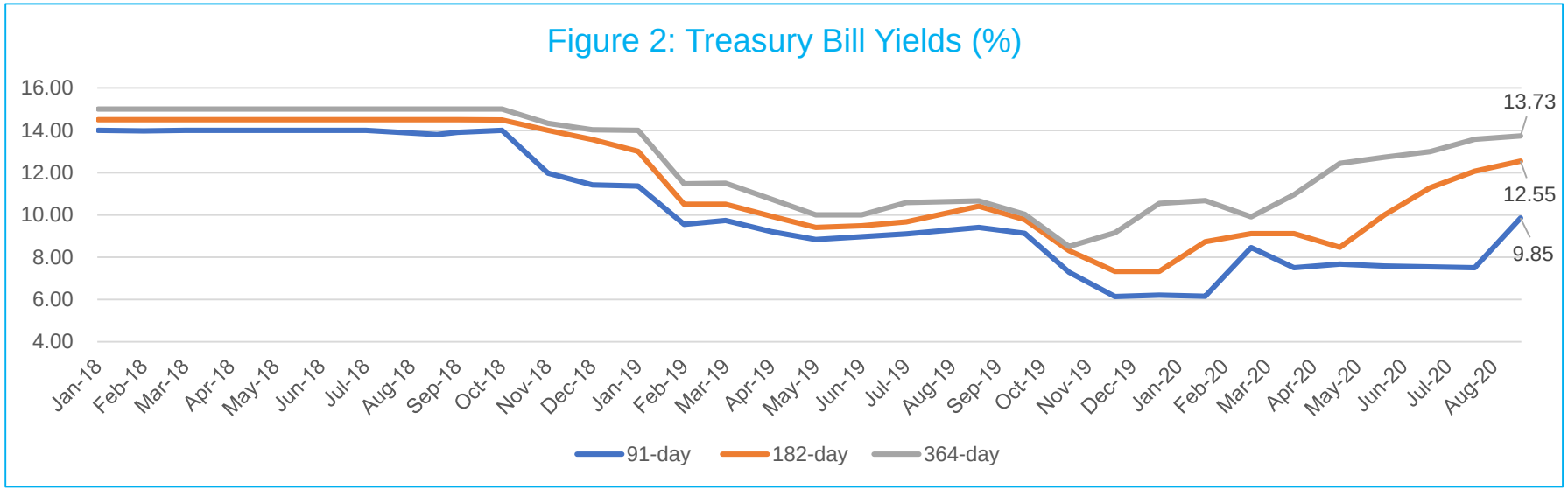


ECONOMIC OVERVIEW

The average All Type Treasury bill yield increased to 12.04% in August 2020 from 11.05% in the previous month.

GOVERNMENT SECURITIES (Source: RBM)

The average All Type Treasury bill yield increased to 12.04% in August 2020 from 11.05% in the previous month. There was also a positive y-o-y change of 4.79%. The average yields for all the treasury bills increased during this period. The yields of the 91 days, 182 days and 364 days papers increased to 9.85%, 12.55% and 13.73%, respectively (from 7.50%, 12.07% and 13.57%). The figure below traces the Treasury bill yields for the different tenures from Jan 2018 to August 2020.



The treasury bill yields are summarized in the table below.

Tenor	August-2020	July-2020	August-2019	m-o-m % Change	y-o-y % Change
91-day	9.85%	7.50%	9.40%	↑ 31.33%	↑ 4.79%
182-day	12.55%	12.07%	10.41%	↑ 3.98%	↑ 20.56%
364-day	13.73%	13.57%	10.67%	↑ 1.18%	↑ 28.68%
All Type yield	12.04%	11.05%	10.16%	↑ 8.96%	↑ 18.50%

Table 2: Treasury Bill Yields (%)

ECONOMIC OVERVIEW (Continued)

There was a 66.00% decrease in treasury bills (TB) allotments in August 2020 in comparison to July 2020. The 364 days paper had the highest subscription rate of 58.29% over the period.

GOVERNMENT SECURITIES (Continued)

There was a 67.75% decrease in treasury bills (TB) applications in August 2020. Applications decreased to K23.19 billion from K71.90 billion in July 2020. Similarly, the allotments during the period decreased to K17.86 billion from K52.53 billion. This represents a 66.00% decrease. The rejection rate for August 2020 was lower than the previous month's: It decreased to 23.00% from 26.95%. The allotments in the subsequent months are likely to increase as the government tries to mitigate COVID-19 effects on the economy.

Table 3: TB Applications, Allotments and Rejection Rates

	August-2020	July-2020	August-2019	m-o-m % Change	y-o-y % Change
Applications (K'billion)	23.19	71.90	45.13	↓ -67.75%	↓ -48.62%
Allotments (K'billion)	17.86	52.53	10.94	↓ -66.00%	↑ 63.25%
Rejection rate (%)	23.00	26.95	75.76	↓ -14.66%	↓ -69.64%

The 364 days paper had the highest subscription rate in August 2020 at 58.29% from 36.59% in the previous month. On the other hand, the 91 days paper had the lowest subscription rate at 2.25% from 1.34% during this period. The subscription rate for the 182 days paper was lower in August 2020 at 39.83%: It was the highest in the July 2020 at 62.07%. The subscription rates for the treasury bills are summarized below.

Table 4: TB Subscription Rates

Tenor	August-2020	July-2020	August-2019	m-o-m % Change	y-o-y % Change
91-day	2.25%	1.34%	18.94%	↑ 67.91%	↓ -88.12%
182-day	39.83%	62.07%	52.59%	↓ -35.83%	↓ -24.26%
364-day	57.92%	36.59%	28.47%	↑ 58.29%	↑ 103.44%
Total	**100.00%**	**100.00%**	**100.00%**	-	

ECONOMIC OVERVIEW (Continued)

GOVERNMENT SECURITIES (Continued)

A total of K49.22 billion was raised in the Treasury Note (TN) auctions in August 2020, from K49.22 billion raised in the previous month.

The government raised K49.22 billion in the Treasury Note (TN) auctions in August 2020, from the K28.26 billion that was raised in July 2020. In August 2020, the 2-Year and 7-Year TN auctions raised K24.15 billion and K25.07 billion respectively from respective applications of K28.78 billion and K46.32 billion. The rejection rate for August 2020 was 30.98% from 35.79% in July 2020. The average yield for the 2-Year TN increased to 16.46% in August 2020 from the previous yield of 15.80% in June 2020. The 7-Year TN auction decreased to 20.75% in August 2020 from the 21.00% yield in June 2020. The coupon rates for the 2-Year, 5-Year and 7-Year TN auctions were 10.00%, 12.50% and 13.50%, respectively. The coupons are all paid semi-annually.

The average yields for the 2-Year TN and 7-Year TN were 16.46% and 20.75%, respectively.

Table 4: Treasury Note Yields and Coupon Rates

Tenor	Yield (%)		Coupon Rate (%)	
	August-2020	July-2020	August-2020	July-2020
2-Year	16.46%		10.00%	
3-Year				
5-Year		19.82%		12.50%
7-Year	20.75%		13.50%	
Total	**18.61%**	**19.82%**	**11.75**	**12.50%**

Table 5: Treasury Note Allotments and Applications

Tenor	Allotted Amount (K'Billion)		Applied Amount (K'Billion)	
	August-2020	July-2020	August-2020	July-2020
2-Year	24.15		28.78	
3-Year				
5-Year		28.26		44.01
7-Year	25.07		46.32	
Total	**49.22**	**28.26**	**75.10**	**44.01**

ECONOMIC OVERVIEW (Continued)

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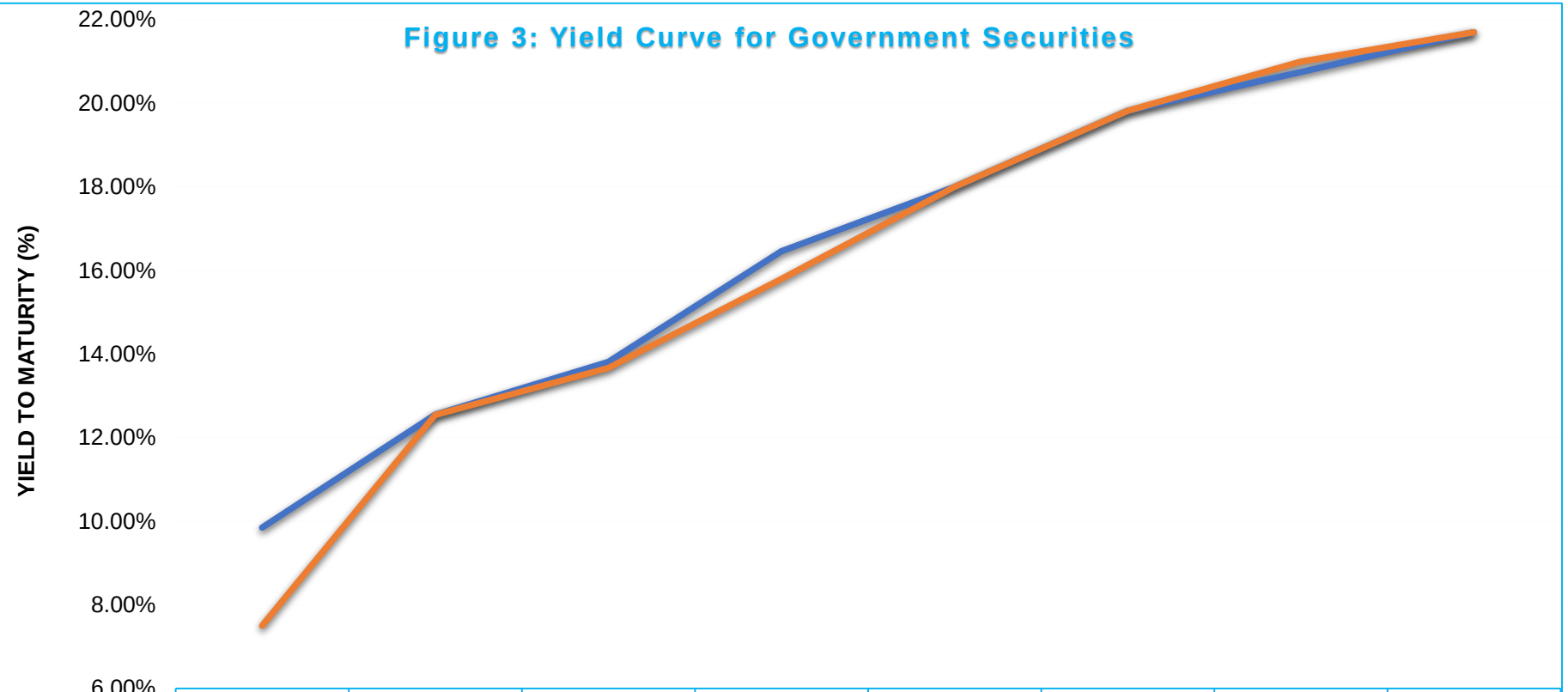
GOVERNMENT SECURITIES (Continued)

There were increases in Treasury Bill yields and the 2-Year Treasury Note (TN) yield. However, the 7-Year TN yield decreased.

The changes in the yields for the Government Securities are shown in the yield curve below.



	91 days	182 days	364 days	2 yr Note	3 yr Note	5 yr Note	7-Year TN	10-Year TN
31-Aug-20	9.85%	12.55%	13.81%	16.46%	18.00%	19.82%	20.75%	21.70%
31-Jul-20	7.50%	12.54%	13.67%	15.80%	18.00%	19.82%	21.00%	21.70%

TIME TO MATURITY

ECONOMIC OVERVIEW (Continued)

The kwacha depreciated against all major currencies in the month under review. It closed August 2020 at K754.71 per USD from K744.74 per USD in the previous month.

Official foreign exchange reserves as at 31 August 2020 were at USD642.86 million, which is an import cover of 3.08 months. On 31 July 2020, it was USD651.41 million and an import cover of 3.12 months.

FOREIGN CURRENCY MARKET (Source: RBM)

The Kwacha depreciated against the USD from K744.74 per USD in July 2020 to K754.71 per USD in August 2020. During this period, it also depreciated significantly against the Great British Pound (from K994.33 per GBP to K1,024.89 per GBP), the Euro (from K903.26 per EUR to K935.56 per EUR) and the South African Rand (from K46.19 per ZAR to K47.53 per ZAR). The table below summarizes the currency movement for the period.

Table 6: Foreign Currency Market

	August-2020	July-2020	August-2019	m-o-m % Change	y-o-y % Change
MK:USD	754.71	744.74	739.41	↓ -1.64%	↓ -2.07%
MK:GBP	1,024.89	994.33	894.98	↓ -6.20%	↓ -14.51%
MK:ZAR	47.53	46.19	48.03	↓ -6.45%	↑ 1.05%
MK:EUR	935.56	903.26	814.65	↓ -6.74%	↓ -14.84%

FOREIGN RESERVE POSITION (Source: RBM)

As at 31 August 2020, the country's forex reserves were at USD642.86 million, which is a decrease from the USD651.41 million on 31 July 2020. According to the RBM's assumption of a monthly import requirement of USD209.0 million, the country import cover decreased to 3.08 months from 3.12 months during this period. Despite having an adequate level of reserves, the wide current account deficit is likely to exert downward pressure on the country's currency. A poor tobacco season is also likely to compound this effect as less exports have been made. However, the inflow of current transfers from donors to mitigate the effect of COVID-19 should offset the dwindling of the forex reserves. Overall, it is likely that the reserves will continue to decrease.

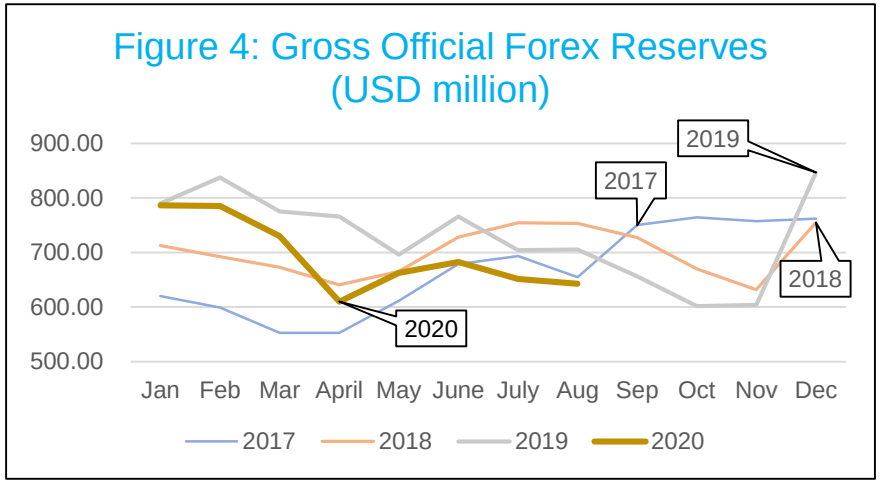
The private sector reserves decreased to USD316.74 million in August 2020 from USD342.01 million in July 2020. As such, there was a decrease in the import cover to 1.52 months from 1.64 months during the period.

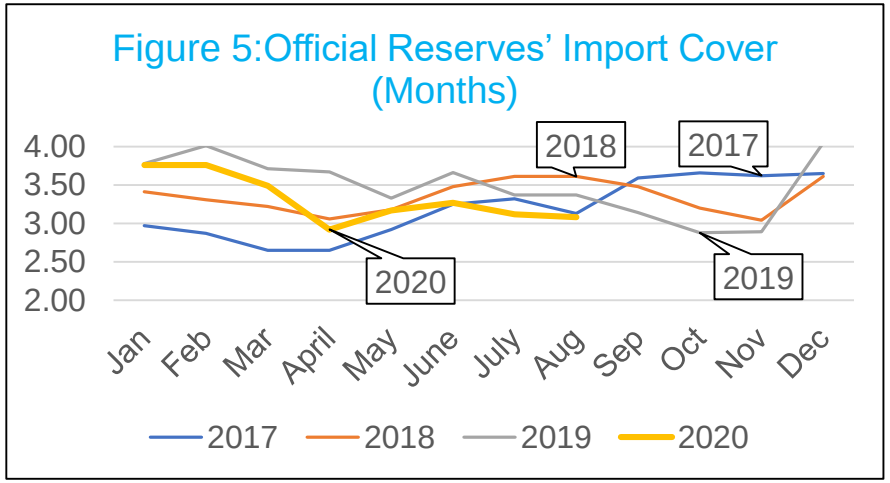
ECONOMIC OVERVIEW (Continued)

Both the Gross official reserves and the Private sector reserves decreased in August 2020 compared to July 2020.

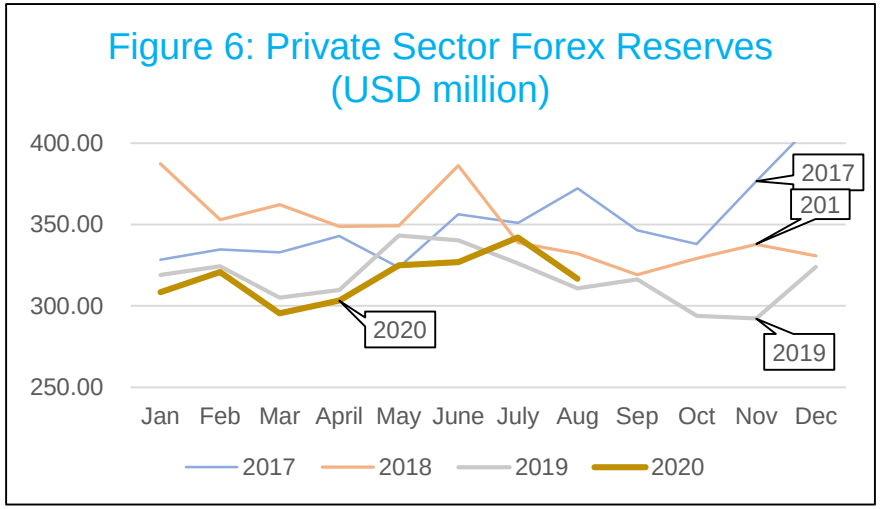
FOREIGN RESERVE POSITION TREND GRAPHS (Source: RBM)

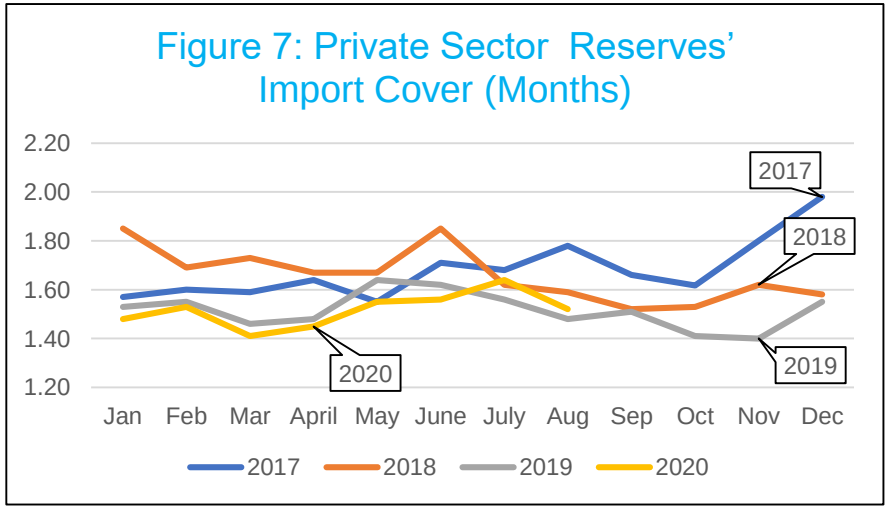
The gross official foreign exchange reserves and import cover are shown below.





The private sector foreign exchange reserves and import cover are shown below.





Overnight Interbank rate increased marginally to 13.59% in August 2020 from 13.58% in July 2020.

ECONOMIC OVERVIEW (Continued)

INTERBANK MARKETS AND INTEREST RATES (Source: RBM)

There was a 29.63% decrease in the daily average liquidity to K8.07 billion in August 2020 from K11.47 billion in July 2020. Similarly, the daily average Overnight Interbank volume decreased by 51.57%, from K16.80 billion to K8.14 billion during the same period. However, the respective rate increased marginally to 13.59% from 13.58%. On the Lombard facility (Discount Window borrowing), there was a 216.96% increase in the daily average volume raised from K10.88 billion in July 2020 to K34.49 billion in August 2020. The rate remained at 13.70%. The table below summarizes the monthly changes in the Interbank market and access to the Discount Window.

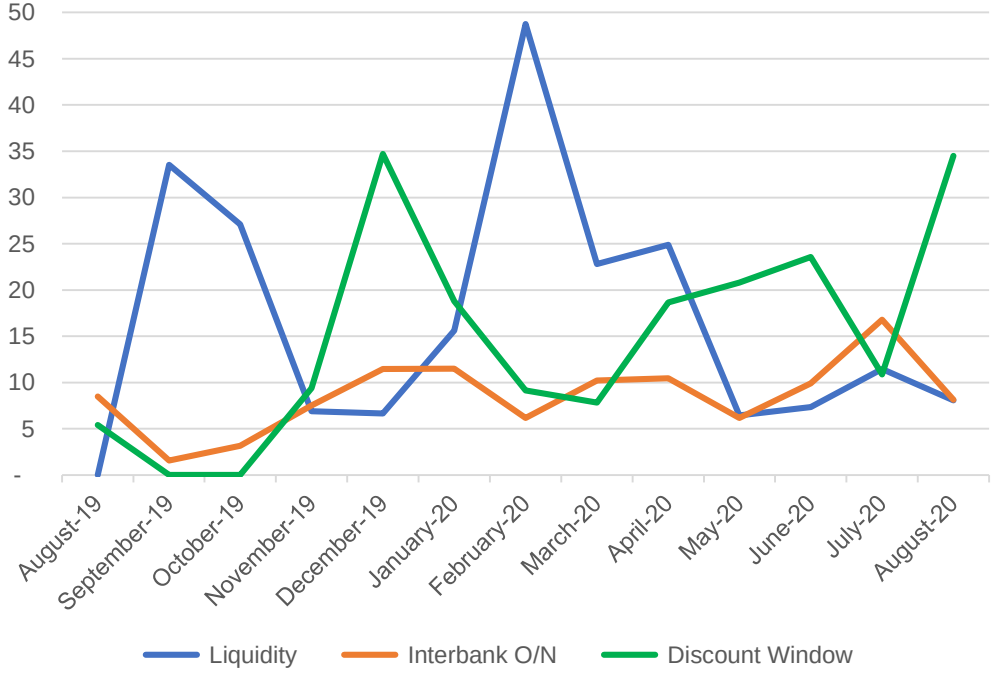
Table 7: Daily Average Rates (%)

	July 2020	August 2020	m-o-m % Change
Interbank	13.58	13.59	0.07%
Discount Window Borrowing	13.70	13.70	0.00%

Table 8: Daily Average Volumes (K'Billions)

	July 2020	August 2020	m-o-m % Change
Interbank	16.80	8.14	-51.55%
Discount Window Borrowing	10.88	34.49	217.00%
Liquidity	11.47	8.07	-29.64%

Figure 8: Daily Liquidity, Interbank and Discount Window Volume (K'Billions)



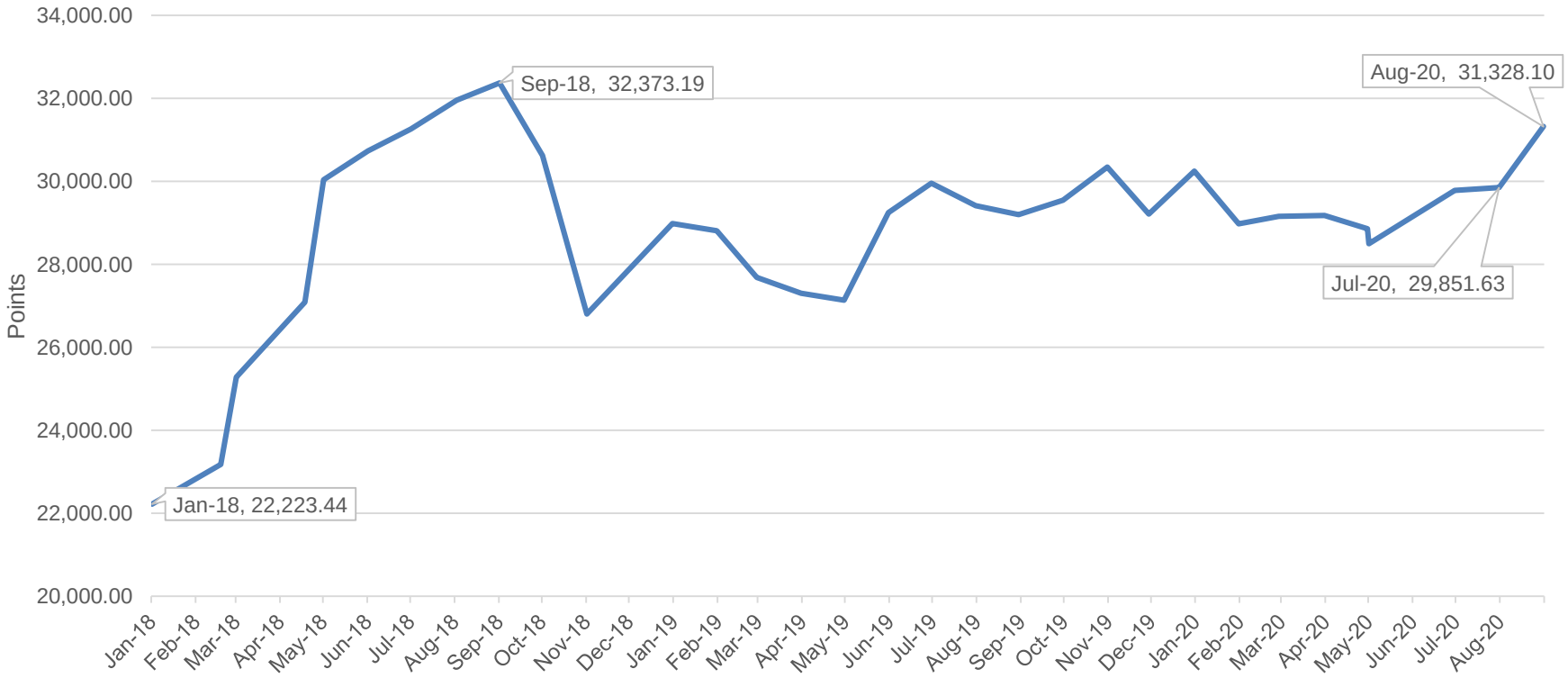
ECONOMIC OVERVIEW (Continued)

The MASI increased by 4.95% to 31,328.10 points in August 2020 from 29,851.63 points in July 2020. This was mainly due share price increases in FDH Bank and AIRTEL.

STOCK MARKET (Source: MSE)

The stock market was bullish in August 2020 as the Malawi All Share Index (MASI) increased by 4.95% to 31,328.10 points from 29,851.63 in the previous month. This is because of the increase in the Domestic Share Index (DSI), from 25,360.04 to 26,732.01, which offset the 4.84% decrease in the Foreign Share Index (FSI). The FSI decreased to 1,460.99 from 1,535.30 during this period. The graph below traces the MASI from January 2018 to August 2020.

Figure 9: Malawi Stock Exchange Performance



ECONOMIC OVERVIEW (Continued)

FDH Bank had the largest share price gain in August 2020 at 29.00%, followed by AIRTEL at 22.86%. ILLOVO had the largest loss during this period at 14.81%.

STOCK MARKET (Source: MSE)

FDH Bank closed the month of August 2020 at K12.90, which is 29.00% higher than its listing price of K10.00. This was the largest share price movement during the period. Next, AIRTEL had a 22.86% share price gain in August 2020 as it closed the month at K27.03 from K22.00 in the previous month. On the other hand, ILLOVO had the largest share price loss, at 14.81% in August 2020. It slipped to K80.50 from K94.50 in July 2020. There was also a significant share price drop for TNM as it closed August 2020 at K21.80 from K23.95 in the previous month. The following table summarizes the share price changes during the period.

MSE Code	Dividend yield%	P/E ratio	P/BV	Share Price		m-o-m % Change
				31-Jul-20	31-Aug-20	
Airtel	4.62	18.69	18.88	22.00	27.03	22.86%
BHL	1.55	23.28	1.67	12.94	12.94	0.00%
FDHB	0.00	11.35	3.93	10.00	12.90	29.00%
FMBCH	0.00	-16.03	1.02	25.50	24.00	-5.88%
ICON	1.65	11.70	1.15	12.70	12.70	0.00%
ILLOVO	0.62	5.70	0.81	94.50	80.50	-14.81%
MPICO	1.04	9.97	1.41	21.00	24.00	14.29%
NBM	2.89	16.89	2.87	550.00	618.76	12.50%
NBS	1.80	12.69	3.69	19.49	19.44	-0.26%
NICO	3.96	6.25	1.57	47.99	47.99	0.00%
NITL	0.79	7.20	1.11	94.99	94.98	-0.01%
OML	2.46	25.32	3.18	2,199.99	2,199.99	0.00%
PCL	1.93	19.83	1.03	1,345.00	1,344.99	0.00%
STANDARD	3.65	12.27	2.23	830.00	830.00	0.00%
SUNBIRD	0.83	12.10	1.34	120.00	120.00	0.00%
TNM	3.44	14.53	4.77	23.95	21.80	-8.98%
MASI	**2.74**	**14.45**	**2.21**	**29,851.63**	**31,328.10**	**4.95%**
DSI	**N/A**	**N/A**	**N/A**	**25,360.04**	**26,732.01**	**5.41%**
FSI	**N/A**	**N/A**	**N/A**	**1,535.30**	**1,460.99**	**-4.84%**

Table 9: MSE Prices

The MASI closed the month of August 2020 with a year-to-date return of 3.56%: It was 0.74% in August 2019.

ECONOMIC OVERVIEW (Continued)

STOCK MARKET (Continued)

	July-20	August-20	August-19	y-o-y % Change	Return YTD	Previous Year's Return YTD
MASI	29,851.63	31,328.10	29,197.17	↑ 4.95%	3.56%	0.74%
DSI	25,360.04	26,732.01	22,420.52	↑ 5.41%	13.27%	5.17%
FSI	1,535.30	1,460.99	4,272.58	↓ -4.84%	-63.70%	-18.85%

Table 10: MSE YTD Return

A total of 315 million shares were traded on the MSE in August 2020 and this is 400% more than in the previous month. The number of trades in the month under review increased by 108.72% from 195 to 407 trades. Similarly, the total value of the trades in August 2020 increased by 284.64% to K4.86 billion from K1.26 billion. The table below shows the summary of the trades.

	July-2020	August-2020	m-o-m % Change	year-to-date (2019)	year-to-date (2020)	y-o-y % Change
Volume	63 million	315 million	↑ 400.00%	682 million	628 million	↓ -7.92%
Trade Count	195	407	↑ 108.72%	2,106	2,112	↑ 0.28%
Value	K1.26 billion	K4.86 billion	↑ 284.64%	K32.20 billion	K14.70 billion	↓ -54.48%

Table 11: MSE Traded Volumes

OTHER MARKET DEVELOPMENTS

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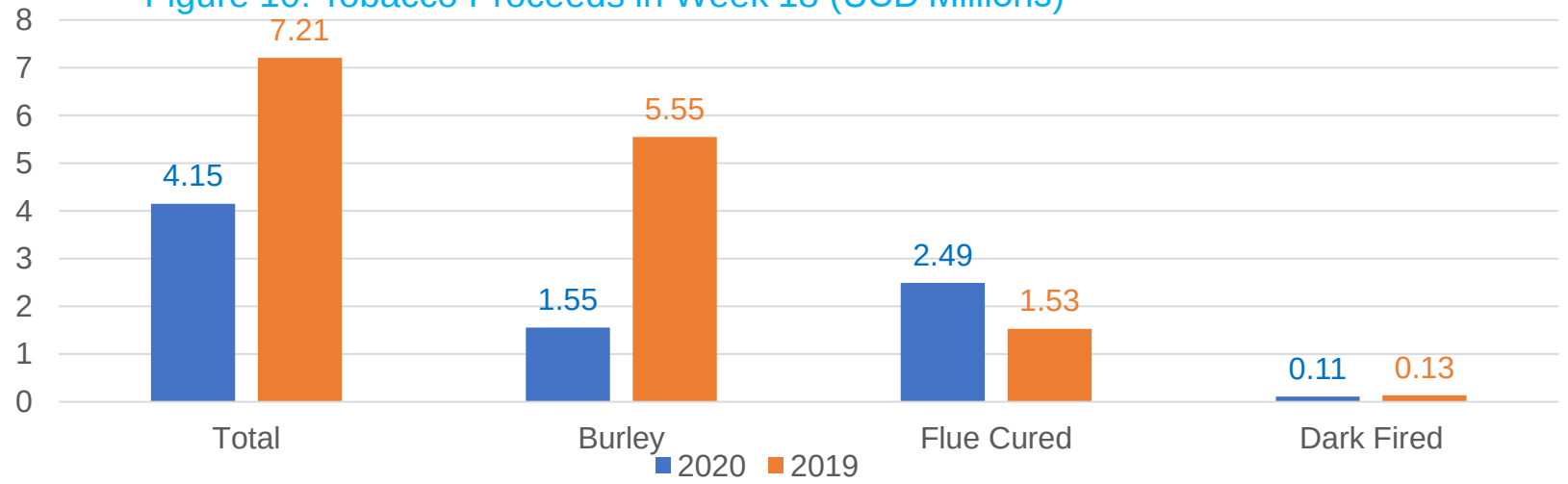
A total of USD4.15 million was raised in Week 18 of 2020 from USD7.21 million in 2019's Week 18.

TOBACCO MARKET (Source: AHL Malawi and Tobacco Commission)

Table 12 :Week 18 Volume and Price Summary 2020 vs 2019				
Type	Volume (millions of kgs)		Avg. price ($) per kg	
	2020	2019	2020	2019
Burley	1.37	4.57	1.13	1.21
Flue Cured	0.90	0.75	2.75	2.05
Dark Fired	0.08	0.10	1.44	1.24
Total	2.35	5.43	1.77	1.33

In the 18th week of sales, a total of 2.3 million kgs was sold in 2020, which is lower than the 5.43 million kgs that was sold in 2019. However, the average price in 2020 is higher at USD1.77 from USD1.33 in 2019. The realised value of sales in week 18 was USD4.15 million in 2020 from USD7.21 million in 2019.

Figure 10: Tobacco Proceeds in Week 18 (USD'Millions)



OTHER MARKET DEVELOPMENTS (Continued)

There was a 45.95% year-on-year decrease in Total Tobacco Revenue in August 2020 to USD165 million from USD201 million in August 2019.

TOBACCO MARKET (Source: AHL Malawi and Tobacco Commission)

Tobacco sales in August 2020 decreased by 52.00% compared to the previous month. Total sales were 12 million kgs in August 2020 and 25 million kgs in July 2020. There was also a 55.56% year-on-year decrease in the month under review as sales in August 2019 were 27 million kgs. The average price increased by 7.10% in August 2020 to USD1.66 from USD1.55 in July 2020. There year-on-year price also increased by 22.06%.

The total revenue from tobacco in August decreased by 48.72% to USD20 million from USD39 million realized in July 2020. Cumulatively, a total of USD165 million has been realized from sales of 108 million kgs at an average price of USD1.53 per kg. In the previous year, USD201 million was realized from selling 136 million kgs at an average price of USD1.48 per kg.

	August 2020	July 2020	August 2019	Cumulative 2020	Cumulative 2019	m-o-m % Change	y-o-y % Change
Sales (million kgs)	12	25	27	108	136	↓ -52.00	↓ -55.56
Average Price (USD/kg)	1.66	1.55	1.36	1.53	1.48	↑ 7.10	↑ 22.06
Total Value (USD'million)	20	39	37	165	201	↓ -48.72	↓ -45.95

Table 13: Tobacco Season Sales

OTHER MARKET DEVELOPMENTS (Continued)

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As at June 2020, Malawi's debt stock was K4.1 trillion. The country's interest charges were about 36.60% of GDP.

STATE OF THE NATION ADDRESS – Restoring Warmth to the Heart of Africa (Source: Government of Malawi)

According to the State of the Nation Address, the 2019/2020 fiscal year had an estimated deficit of K315 billion as total revenue and total expenditures were at K1.53 trillion and K1.84 trillion, respectively. Since a significant amount of the deficit was financed by domestic borrowing, the private sector was crowded out from accessing financial resources. In addition, arrears of K169.4 billion from unpaid bills by Ministries, departments and Agencies of Government also constrained growth in the country.

By the end of June 2020, public debt stock was at K4.1 trillion, which is 59% of nominal GDP. The country's debt position is far from ideal, with K36.60 from every K100.00 generated being used to pay interest, excluding repayment of the principal amount.

The USD86 Million should help MSMEs to continue supplying essential goods and services.

World Bank Approves USD86 Million to Improve Access to Financial Services for Micro, Small and Medium Enterprises in Malawi (Source: The World Bank)

The World Bank Board of Executive Directors have approved a USD86 million credit for the GoM. The fund have been allocated to increase access to financial services and promote the entrepreneurship and capabilities of micro, small and medium enterprises (MSMEs) in the country. In addition, the funds should help address the negative impacts that the coronavirus has had on the county's economy.

The coronavirus pandemic has disrupted supply, subdued demand and tightened credit conditions in the economy. This has compounded the challenges that the MSMEs have in the country, like lack of access to finance. The funds should help the economy make a resilient recovery, according to the World Bank Country Manager for Malawi.

MSME will be able to use the credit line that the financial resources will provide. As a result, the MSMEs should be able to continue supplying essential goods and services. The MSMEs that have potential for growth will also benefit from the resources, especially for youth- and women-owned businesses. As a result, this will help address market failures that limit supply of affordable finance.

Maize prices in July 2020 were at K175/kg, which is 18% lower than at the same point last year.

OTHER MARKET DEVELOPMENTS (Continued)

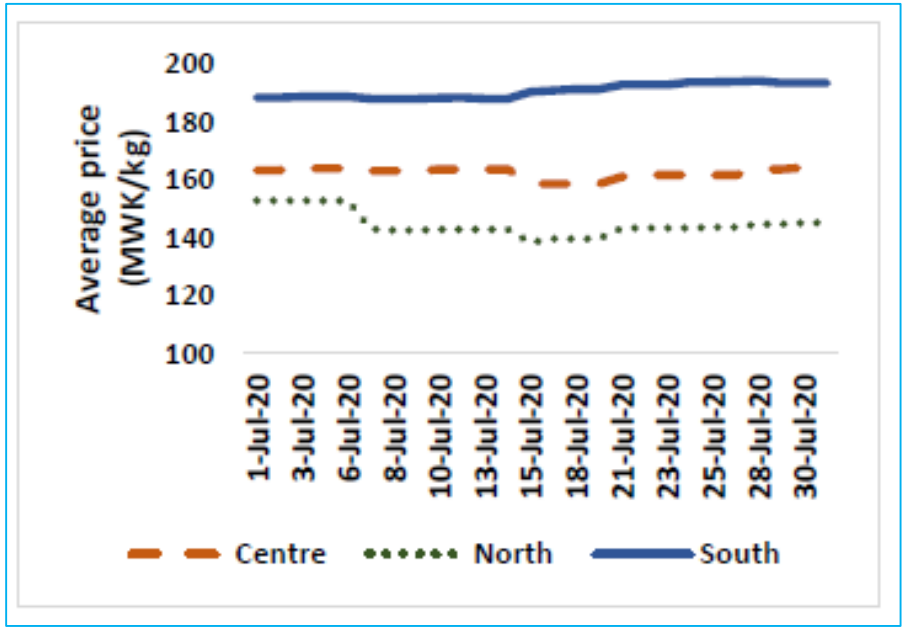
MALAWI MONTHLY MAIZE MARKET REPORT (Source: IFPRI)

Maize prices remained relatively stable in July 2020 as they closed the month at an average price of K175/kg, which was the average during the first week of that month. However, the average price was 18.1% lower than the average in July 2019. During the period, the price of maize increased in 10 markets, stayed the same in 8 markets and decreased in 10 markets.

Bangula and Karonga markets had the largest decrease in price at 19% each. On the other hand, Liwonde, Chiringa and Mbayani had the largest price increases at 11% each. The Ministry of Agriculture and Food Security set a minimum farmgate price of K200/kg in April 2020, but about 93% of the farmers reported that they sold their maize at lower prices. When considering eastern and southern Africa, the highest prices for maize was recorded in Bujumbura (Burundi) while the lowest prices were recorded by SAFEX (the main grain futures market in South Africa).

According to IFPRI, maize prices are highest in the South and lowest in the North, which is usually the pattern. By the end of July 2020, maize prices were K29/kg lower in the Centre compared to the South. In turn, maize prices in the North were K19/kg cheaper than those in the Centre. So far, ADMARC has purchased about 55,000 metric tons (MT) of maize this season, although some of the payments are still outstanding. ADMARC stopped purchasing maize towards the end of July 2020 due to lack of funds.

Figure 11: Daily average maize retail prices in July 2020



REGIONAL AND GLOBAL MARKET DEVELOPMENTS (Continued)

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There was a 17.19% increase in oil prices to USD43.42 per barrel for the OPEC Reference Basket in July 2020 from USD37.05 in June 2020.

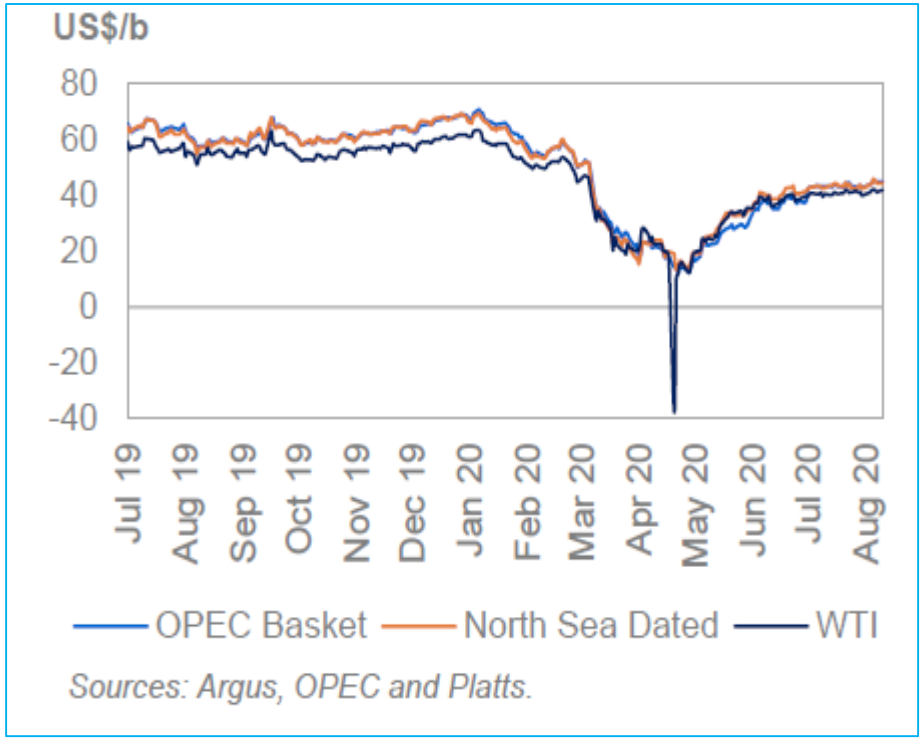
GLOBAL OIL DEVELOPMENTS (Source: OPEC)

The value of the OPEC Referenve Basket (ORB) increased for the third consecutive month to average at USD43.42 per barrel in July 2020 from USD37.05 per barrel in June 2020. The USD6.37 gain in price represents a 17.19% increase. The year-to-date average is USD39.85 per barrel.

The global demand for oil is expected to decline by 9.1 millions of barrels per day (mb/d), which is 0.1 mb/d below June 2020's forecast. The decrease has been attributed to lower economic activity in some major countries not part of the Organisation for Economic Co-operation and Development (OECD). The demand is expected to increase by 7.0% in 2021 from the 90.6 mb/d projection of 2020.

According to OPEC's July 2020 report, the negative impact of COVID-19 has led to a downwards adjustment in the global economic growth forecast for 2020. It decreased to negative 4.0% from negative 3.7%. However, the forecast is expected to improve significantly to 4.7% in 2021.

Figure 12: Crude oil price movement



Advanced economies contracted by an average of 10% (quarter-on-quarter) in the second quarter of 2020.

GLOBAL ECONOMIC OUTLOOK REPORT (Source: ICAEW)

According to Oxford Economics, advanced economies contracted by an average of about 10% (quarter-on-quarter) in the second quarter of 2020. This quarter is when the lockdown measures peaked and the responses to COVID-10 led a direct negative impact on economic activity in the respective countries.

Although the easing of lockdown restriction will help improve economic activity, the impact will be constrained by people's fear of infection. As such, strength of the recovery will depend on extent to which individuals return to normal activities. If consumer confidence is restored, this will affect business confidence, which will in turn affect investments. Therefore, the speed at which the risk of infection is removed is a significant variable to the speed of recovery.

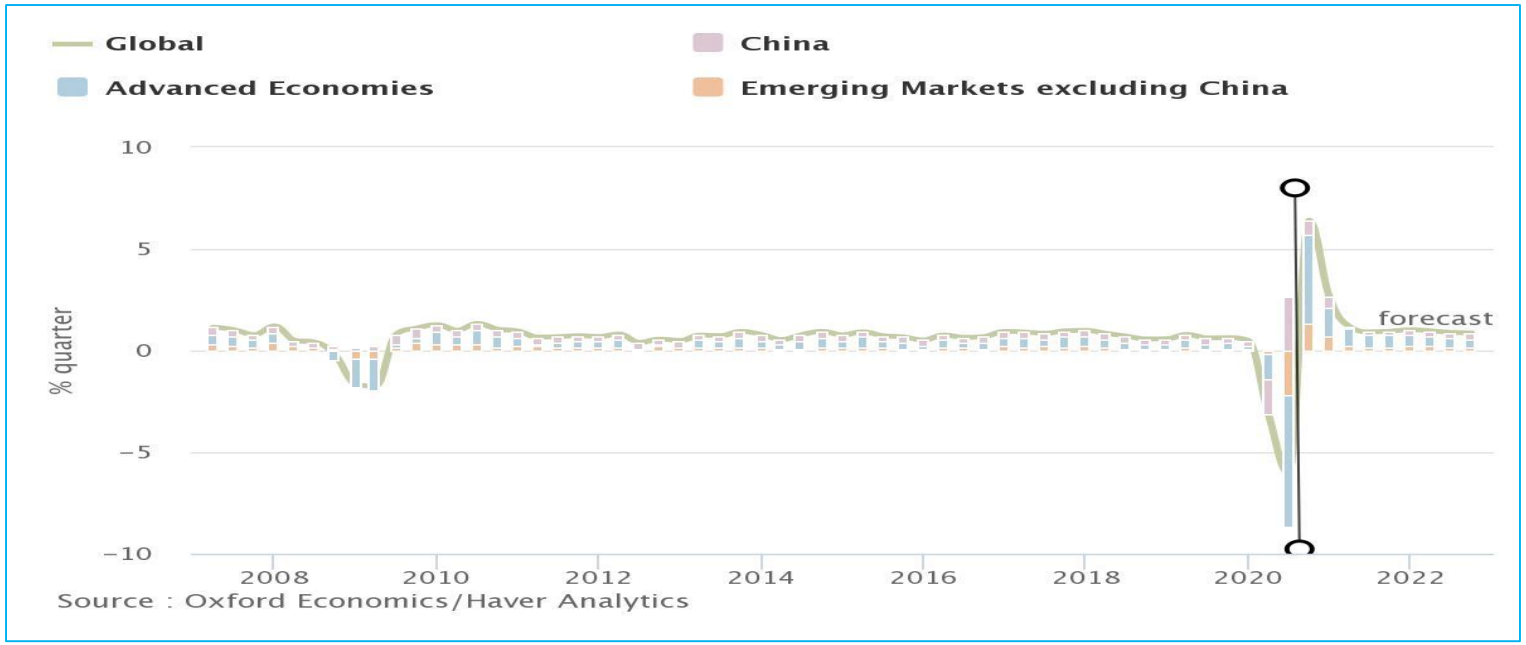


Figure 12: World GDP quarterly growth

REGIONAL AND GLOBAL MARKET DEVELOPMENTS (Continued)

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The central banks for USA, UK and Europe continue to maintain their bank rates while the US treasury bond yield increased to 0.71% in August 2020 from 0.53% in July 2020.

INTEREST RATE MOVEMENTS (Source: WSJ and Reuters)

The US Fed rate was maintained at 0.25% in August 2020. Similarly, the Bank of England Rate and the European Central Bank Rate were also maintained at 0.10% and 0.00% respectively. However, although the US 6 months Libor was steady at 0.31%, the 3 months Libor decreased marginally to 0.24% in August from 0.25% in the previous month. The low interest rates should stimulate economic activities in the respective economies.

	July 2020 (%)	August 2020 (%)	% Change
US Libor (3 months)	0.25	0.24	↓ -4.17%
US Libor (6 months)	0.31	0.31	→ 0.00%
US treasury bond yield (10 years)	0.53	0.71	↑ 25.35%
US Fed rate	0.25	0.25	→ 0.00%
Bank of England Rate	0.10	0.10	→ 0.00%
European Central Bank Rate	0.00	0.00	→ 0.00%

Table 14: Interest Rates

The graphs below, figure 13, shows the 10-Year US treasury bond yield:

OUTLOOK FOR MALAWI

Inflation

The headline inflation is expected to increase in the second half of 2020 partly due to the recovering global oil prices which will increase non-food inflation. In addition, since the harvest season is over, the second half of the year is characterized by lean period where prices of food especially maize is most likely to increase. The expected increase in the maize prices is most likely to result in a rise in food inflation and in turn a rise in the headline inflation. The RBM expects inflation for 2020 to average 9.8%, which is lower than the projections by the EIU of 10.5%.

Exchange Rates

There are several factors that are likely to negatively affect the foreign currency market in the short-term. These include dwindling proceeds from the tobacco market, COVID-19 spill over effects, lower forex reserves and current account deficits. The EIU projects the exchange rate to average K770.1 per USD in 2020, while in 2021 and 2024, it expects the exchange rate to average K793.5 and K898.1 per USD, respectively.

Fiscal Policy

The fiscal deficit is likely to worsen in 2020 as the Government increases expenditure on health in order to mitigate the coronavirus pandemic's effects. The task will prove to be difficult as tax revenues should decrease in the fourth quarter, according to the World Bank. The proposed increase in the tax-free bracket to K100,000 will decrease income tax revenue for the government. On the other hand, this will increase the disposable income for the households and demand for products in the country will also increase.

Monetary Policy

The Policy Rate is likely to be maintained at 13.5% for the rest of 2020 as the MPC aims to achieve economic stability. Decreasing the Policy Rate may lead to higher inflation, which is against their medium-term goal of 5±2%. In a worst-case scenario where the impact of the COVID-19 pandemic is not curbed, the central bank may likely reduce the policy rate which will reduce borrowing costs.

Tobacco Market

According to the AfDB, Malawi will have lower foreign exchange earnings from the Tobacco market in 2020 compared to 2019. The negative year-on-year change in sales (55.56% decrease) indicates that less foreign exchange earnings will be made from tobacco this year, although the average price is 22.06% higher.

Economic Growth

The country is projected to have real growth of 1.9% according to the Government. This is close to the revised projection by the World Bank of 2.0%. The International Monetary Fund (IMF) projects Malawi's growth to be 1.0% in 2020. However, the EIU expects a 3.9% contraction in 2020. Economic growth in 2020 is highly dependent on how the country manages the coronavirus pandemic.

Appendix

Appendix 1: EIU Data and Forecasts

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Economic Growth

%	2019[a]	2020[b]	2021[b]	2022[b]	2023[b]	2024[b]
GDP	4.1	-3.9	2.8	4.0	5.1	5.7
Private consumption	4.0	-1.0	1.5	3.0	4.5	5.0
Government consumption	7.0	6.0	4.0	3.0	4.0	3.0
Gross fixed investment	11.5	-1.0	5.0	5.0	8.0	8.0
Exports of goods & services	3.7	-10.1	3.8	5.0	5.2	6.5
Imports of goods & services	5.0	-5.0	3.0	4.0	5.0	5.8
Domestic demand	5.3	-0.2	2.3	3.3	4.9	5.2
Agriculture	3.3	0.5	1.0	3.1	4.0	4.5
Industry	4.1	-4.4	4.0	5.4	5.2	5.8
Services	4.5	-6.0	3.5	4.1	4.5	4.9

[a] Economist Intelligence Unit estimates. [b] Economist Intelligence Unit forecasts.

Key Indicators

	2019[a]	2020[b]	2021[b]	2022[b]	2023[b]	2024[b]
Real GDP growth (%)	4.1	-3.9	2.8	4.0	5.1	5.7
Consumer price inflation (av; %)	9.4	10.5	9.6	10.5	10.9	10.2
Government balance (% of GDP)	-6.2	-7.3	-8.0	-7.5	-6.8	-6.2
Current-account balance (% of GDP)	-16.7	-10.5	-11.0	-11.8	-12.4	-12.7
Money market rate (av; %)	15.5	13.5	14.5	15.5	15.8	16.5
Exchange rate MK:US$ (av)	745.5[c]	770.1	793.5	820.5	852.0	898.1

[a] Economist Intelligence Unit estimates. [b] Economist Intelligence Unit forecasts. [c] Actual.

International Assumptions

	2019	2020	2021	2022	2023	2024
Economic growth (%)						
US GDP	2.3	-4.0	2.4	2.2	2.0	1.8
OECD GDP	1.6	-5.5	2.8	2.1	1.9	1.8
World GDP	2.2	-4.2	3.7	2.9	2.8	2.7
World trade	0.9	-24.8	20.9	4.0	3.8	3.8
Inflation indicators (% unless otherwise indicated)						
US CPI	1.8	0.6	1.5	1.7	2.0	1.9
OECD CPI	1.9	0.9	1.5	2.0	2.1	2.1
Manufactures (measured in US$)	-1.4	-2.0	3.5	3.9	3.5	3.1
Oil (Brent; US$/b)	64.0	38.1	44.0	58.5	65.0	62.5
Non-oil commodities (measured in US$)	-6.3	-3.2	3.9	2.2	3.2	2.1
Financial variables						
US$ 3-month commercial paper rate (av; %)	2.2	1.2	0.8	0.5	0.9	1.4
US$:€ (av)	1.12	1.10	1.12	1.17	1.21	1.24
¥:US$	109.03	108.96	107.76	104.18	102.40	98.45

Appendix 1: EIU Data and Forecasts

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Annual data and forecast

	2015[a]	2016[a]	2017[a]	2018[a]	2019[b]	2020[c]	2021[c]
GDP							
Nominal GDP (US$ m)	6,373	5,433	6,303	7,065	8,030	8,273	9,219
Nominal GDP (MK m)	3,184,094	3,900,950	4,603,121	5,173,908	5,986,343	6,370,793	7,315,000
Real GDP growth (%)	2.8	2.5	4.0	3.5	4.1	-3.9	2.8
Expenditure on GDP (% real change)							
Private consumption	4.9	18.6	8.3	2.4[b]	4.0	-1.0	1.5
Government consumption	13.6	-0.2	6.0	6.1[b]	7.0	6.0	4.0
Gross fixed investment	15.4	-2.1	33.3	3.1[b]	11.5	-1.0	5.0
Exports of goods & services	16.4	40.1	3.7	-0.1[b]	3.7	-10.1	3.8
Imports of goods & services	19.9	54.6	-1.5	8.7[b]	5.0	-5.0	3.0
Origin of GDP (% real change)							
Agriculture	-2.0	-2.3	5.0	2.5[b]	3.3	0.5	1.0
Industry	3.5	2.4	2.2	2.2[b]	4.1	-4.4	4.0
Services	5.5	5.2	4.0	4.3[b]	4.5	-6.0	3.5
Population and income							
Population (m)	16.8	17.2	17.7[b]	18.1[b]	18.6	19.1	19.6
GDP per head (US$ at PPP)	1,018	1,026	1,059[b]	1,094[b]	1,042	1,057	1,084
Fiscal indicators (% of GDP)							
Public-sector balance	-6.4	-6.0	-3.6	-7.2[b]	-6.2	-7.3	-8.0
Net public debt	40.3[b]	54.6[b]	56.6[b]	59.6[b]	64.5	67.0	67.1

	2015[a]	2016[a]	2017[a]	2018[a]	2019[b]	2020[c]	2021[c]
Prices and financial indicators							
Exchange rate MK:US$ (end-period)	672.68	728.62	732.03	733.69	741.68[a]	818.80	758.71
Exchange rate MK:€ (end-period)	732.35	768.04	877.92	840.08	833.20[a]	900.68	868.72
Consumer prices (end-period, %)	24.9	20.0	7.1	9.9	11.6	10.5	9.9
Stock of money M1 (% change)	16.8	24.6	19.8[b]	18.6[b]	13.8	9.6	22.2
Stock of money M2 (% change)	26.4	15.2	19.7	11.3	8.1	8.7	20.0
Lending interest rate (av; %)	44.4	44.1	38.6	32.3	24.0	23.8	24.8
Current account (US$ m)							
Trade balance	-789	-1,090	-1,577	-1,668	-1,591	-1,275	-1,290
Goods: exports fob	1,431	1,066	910	951	1,158	887	1,037
Goods: imports fob	-2,220	-2,156	-2,487	-2,618	-2,749	-2,162	-2,327
Services balance	-213	-135	-151	-158	-165	-180	-201
Primary income balance	-327	-96	-153	-165	-218	-172	-187
Secondary income balance	398	268	467	564	635	756	659
Current-account balance	-930	-1,053	-1,414	-1,427	-1,339	-871	-1,019
External debt (US$ m)							
Debt stock	1,721	1,877	2,134	2,270	2,479	2,685	2,814
Debt service paid	69	75	71	73	96	62	145
Principal repayments	54	57	54	56	74	51	122
Interest	16	18	17	17	22	11	23
International reserves (US$ m)							
Total international reserves	702	631	793[b]	782[b]	847	709	839

[a] Actual. [b] Economist Intelligence Unit estimates. [c] Economist Intelligence Unit forecasts.

Sources: IMF, International Financial Statistics; Ministry of Finance, Budget statements; World Bank, Global Development Finance; Reserve Bank of Malawi, Economic reviews.

Appendix 2: Overview of the World Economic Outlook Projections

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Percent change, unless noted otherwise

	Year over Year						Q4 over Q4 2/		
			Projections		Difference from April 2020 WEO Projections 1/			Projections	
	2018	2019	2020	2021	2020	2021	2019	2020	2021
World Output	**3.6**	**2.9**	**–4.9**	**5.4**	**–1.9**	**–0.4**	**2.8**	**–3.5**	**4.6**
Advanced Economies	**2.2**	**1.7**	**–8.0**	**4.8**	**–1.9**	**0.3**	**1.5**	**–7.2**	**5.1**
United States	2.9	2.3	–8.0	4.5	–2.1	–0.2	2.3	–8.2	5.4
Euro Area	1.9	1.3	–10.2	6.0	–2.7	1.3	1.0	–8.6	5.8
Germany	1.5	0.6	–7.8	5.4	–0.8	0.2	0.4	–6.7	5.5
France	1.8	1.5	–12.5	7.3	–5.3	2.8	0.9	–8.9	4.2
Italy	0.8	0.3	–12.8	6.3	–3.7	1.5	0.1	–10.9	5.5
Spain	2.4	2.0	–12.8	6.3	–4.8	2.0	1.8	–11.4	6.3
Japan	0.3	0.7	–5.8	2.4	–0.6	–0.6	–0.7	–1.8	0.0
United Kingdom	1.3	1.4	–10.2	6.3	–3.7	2.3	1.1	–9.0	6.9
Canada	2.0	1.7	–8.4	4.9	–2.2	0.7	1.5	–7.5	4.6
Other Advanced Economies 3/	2.7	1.7	–4.8	4.2	–0.2	–0.3	1.9	–5.1	5.5
Emerging Market and Developing Economies	**4.5**	**3.7**	**–3.0**	**5.9**	**–2.0**	**–0.7**	**3.9**	**–0.5**	**4.2**
Emerging and Developing Asia	6.3	5.5	–0.8	7.4	–1.8	–1.1	5.0	2.4	3.9
China	6.7	6.1	1.0	8.2	–0.2	–1.0	6.0	4.4	4.3
India 4/	6.1	4.2	–4.5	6.0	–6.4	–1.4	3.1	0.2	1.2
ASEAN-5 5/	5.3	4.9	–2.0	6.2	–1.4	–1.6	4.6	–1.4	6.1
Emerging and Developing Europe	3.2	2.1	–5.8	4.3	–0.6	0.1	3.4	–7.0	6.6
Russia	2.5	1.3	–6.6	4.1	–1.1	0.6	2.2	–7.5	5.6
Latin America and the Caribbean	1.1	0.1	–9.4	3.7	–4.2	0.3	–0.2	–9.0	4.1
Brazil	1.3	1.1	–9.1	3.6	–3.8	0.7	1.6	–9.3	4.5
Mexico	2.2	–0.3	–10.5	3.3	–3.9	0.3	–0.8	–10.1	4.8
Middle East and Central Asia	1.8	1.0	–4.7	3.3	–1.9	–0.7	...	...	...
Saudi Arabia	2.4	0.3	–6.8	3.1	–4.5	0.2	–0.3	–4.4	4.1
Sub-Saharan Africa	3.2	3.1	–3.2	3.4	–1.6	–0.7	...	...	...
Nigeria	1.9	2.2	–5.4	2.6	–2.0	0.2	...	...	...
South Africa	0.8	0.2	–8.0	3.5	–2.2	–0.5	–0.6	–2.1	–2.8
Memorandum									
Low-Income Developing Countries	5.1	5.2	–1.0	5.2	–1.4	–0.4	...	...	...
World Growth Based on Market Exchange Rates	3.1	2.4	–6.1	5.3	–1.9	–0.1	2.3	–4.9	4.8
World Trade Volume (goods and services) 6/	**3.8**	**0.9**	**–11.9**	**8.0**	**–0.9**	**–0.4**	...	...	...
Advanced Economies	3.4	1.5	–13.4	7.2	–1.3	–0.2	...	...	...
Emerging Market and Developing Economies	4.5	0.1	–9.4	9.4	–0.5	–0.7	...	...	...
Commodity Prices (U.S. dollars)									
Oil 7/	29.4	–10.2	–41.1	3.8	0.9	–2.5	–6.1	–42.6	12.2
Nonfuel (average based on world commodity import weights)	1.3	0.8	0.2	0.8	1.3	1.4	4.9	–0.8	1.3
Consumer Prices									
Advanced Economies 8/	2.0	1.4	0.3	1.1	–0.2	–0.4	1.4	–0.1	1.5
Emerging Market and Developing Economies 9/	4.8	5.1	4.4	4.5	–0.2	0.0	5.0	3.1	4.0
London Interbank Offered Rate (percent)									
On U.S. Dollar Deposits (six month)	2.5	2.3	0.9	0.6	0.2	0.0	...	...	...
On Euro Deposits (three month)	–0.3	–0.4	–0.4	–0.4	0.0	0.0	...	...	...
On Japanese Yen Deposits (six month)	0.0	0.0	0.0	–0.1	0.1	0.0	...	...	...

Note: Real effective exchange rates are assumed to remain constant at the levels prevailing during April 21-May 19, 2020. Economies are listed on the basis of economic size. The aggregated quarterly data are seasonally adjusted. WEO = *World Economic Outlook.*

1. Difference based on rounded figures for the current and April 2020 WEO forecasts. Countries whose forecasts have been updated relative to April 2020 WEO forecasts account for 90 percent of world GDP measured at purchasing-power-parity weights.
2. For World Output, the quarterly estimates and projections account for approximately 90 percent of annual world output at purchasing-power-parity weights. For Emerging Market and Developing Economies, the quarterly estimates and projections account for approximately 80 percent of annual emerging market and developing economies' output at purchasing-power-parity weights.
3. Excludes the Group of Seven (Canada, France, Germany, Italy, Japan, United Kingdom, United States) and euro area countries.
4. For India, data and forecasts are presented on a fiscal year basis and GDP from 2011 onward is based on GDP at market prices with fiscal year 2011/12 as a base year.
5. Indonesia, Malaysia, Philippines, Thailand, Vietnam.
6. Simple average of growth rates for export and import volumes (goods and services).
7. Simple average of prices of UK Brent, Dubai Fateh, and West Texas Intermediate crude oil. The average price of oil in US Dollars a barrel was $61.39 in 2019; the assumed price, based on futures markets (as of May 19, 2020), is $36.18 in 2020 and $37.54 in 2021.
8. The inflation rate for the euro area is 0.2% in 2020 and 0.9% in 2021, for Japan is -0.1% in 2020 and 0.3% in 2021, and for the United States is 0.5% in 2020 and 1.5% in 2021.
9. Excludes Venezuela.

Appendix 3: General Government Fiscal Balance and Gross Debt, 2018–21 (Overall Balance and Gross Debt)

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Percent pf GDP

	Overall Fiscal Balance						Gross Debt					
			Current Projections		Difference from April WEO Projections				Current Projections		Difference from April WEO Projections	
	2018	2019	2020	2021	2020	2021	2018	2019	2020	2021	2020	2021
World	**-3.1**	**-3.9**	**-13.9**	**-8.2**	**-4.0**	**-2.0**	**81.2**	**82.8**	**101.5**	**103.2**	**5.1**	**6.6**
Group of Twenty (G20)	**-3.7**	**-4.5**	**-15.4**	**-9.1**	**-4.6**	**-2.2**	**88.6**	**90.4**	**111.2**	**113.3**	**5.7**	**7.5**
Advanced Economies	**-2.7**	**-3.3**	**-16.6**	**-8.3**	**-6.0**	**-2.8**	**104.0**	**105.2**	**131.2**	**132.3**	**8.8**	**10.4**
Advanced G20	-3.3	-4.0	-18.0	-9.1	-6.5	-3.0	**111.6**	**113.2**	**141.4**	**142.9**	9.6	11.5
United States[1, 3]	-5.8	-6.3	-23.8	-12.4	-8.4	-3.7	106.9	108.7	141.4	146.1	10.4	14.2
Euro Area	-0.5	-0.6	-11.7	-5.3	-4.2	-1.7	85.8	84.1	105.1	103.0	7.7	7.4
Germany	1.9	1.5	-10.7	-3.1	-5.2	-1.9	61.9	59.8	77.2	75.0	8.6	9.3
France	-2.3	-3.0	-13.6	-7.1	-4.5	-0.8	98.1	98.1	125.7	123.8	10.2	7.4
Italy	-2.2	-1.6	-12.7	-7.0	-4.4	-3.5	134.8	134.8	166.1	161.9	10.6	11.4
Spain[2]	-2.5	-2.8	-13.9	-8.3	-4.4	-1.6	97.6	95.5	123.8	124.1	10.4	9.5
Japan	-2.5	-3.3	-14.7	-6.1	-7.6	-4.1	236.6	238.0	268.0	265.4	16.0	17.8
United Kingdom	-2.2	-2.1	-12.7	-6.7	-4.4	-1.3	85.7	85.4	101.6	100.5	5.9	4.7
Canada[3]	-0.4	-0.3	-12.6	-5.8	-0.8	-1.9	89.7	88.6	109.3	108.8	-0.3	0.3
Australia	-1.2	-3.9	-8.6	-8.4	1.1	-1.0	41.5	45.0	56.8	64.3	-2.5	0.3
Korea	2.6	0.4	-3.6	-2.4	-1.7	-0.8	40.0	41.9	49.5	53.4	3.2	4.3
Emerging Market Economies	**-3.8**	**-4.9**	**-10.6**	**-8.5**	**-1.5**	**-1.0**	**48.9**	**52.4**	**63.1**	**66.7**	**1.1**	**2.1**
Excluding MENAP Oil Producers	-4.0	-5.0	-10.6	-8.5	-1.6	-1.1	50.4	53.9	64.4	68.1	0.9	2.0
Emerging G20	-4.3	-5.4	-11.3	-9.1	-1.6	-1.0	**49.4**	**53.0**	**64.1**	**68.3**	0.8	1.8
Asia	-4.5	-6.0	-11.4	-9.8	-1.5	-1.3	49.3	53.5	64.9	70.3	0.8	2.3
China	-4.7	-6.3	-12.1	-10.7	-0.9	-1.1	47.0	52.0	64.1	70.7	-0.8	0.6
India	-6.3	-7.9	-12.1	-9.4	-4.6	-2.1	69.6	72.2	84.0	85.7	9.6	11.9
Indonesia	-1.8	-2.2	-6.3	-5.0	-1.3	-1.0	30.1	30.5	37.7	40.3	0.8	2.8
Europe	0.4	-0.6	-6.9	-4.8	-0.7	-0.6	29.3	29.0	36.4	37.1	0.0	0.8
Russia	2.9	1.9	-5.5	-3.9	-0.6	-0.9	13.5	13.9	18.5	18.8	0.6	1.7
Turkey	-3.7	-5.3	-8.4	-7.5	-0.9	-0.8	30.4	33.0	40.4	42.2	1.1	1.5
Latin America	-5.2	-4.0	-10.3	-4.8	-3.6	-0.9	66.6	70.6	81.5	79.7	3.6	3.6
Brazil[4]	-7.2	-6.0	-16.0	-5.9	-6.6	0.2	87.1	89.5	102.3	100.6	4.1	2.4
Mexico	-2.2	-2.3	-6.0	-4.0	-1.8	-1.8	53.6	53.7	65.9	66.3	4.6	7.3
MENAP	-2.9	-3.9	-9.8	-7.8	0.0	-0.1	40.1	44.7	55.2	56.4	4.0	3.6
Saudi Arabia	-5.9	-4.5	-11.4	-5.6	1.2	3.4	19.0	22.8	35.2	36.8	1.1	-1.9
South Africa	-4.1	-6.3	-14.8	-11.0	-1.5	1.6	56.7	62.2	79.9	84.6	2.5	-1.0
Low-Income Developing Countries	**-3.8**	**-4.1**	**-6.1**	**-5.1**	**-0.4**	**-0.2**	**42.9**	**43.1**	**48.2**	**49.0**	**0.8**	**1.3**
Nigeria	-4.3	-5.0	-7.3	-5.7	-0.9	0.2	27.7	29.1	36.5	36.8	1.2	-0.1
Oil Producers	**-0.6**	**-1.0**	**-8.4**	**-5.5**	**-0.8**	**-1.0**	**42.7**	**45.1**	**56.1**	**56.6**	**1.5**	**2.2**
Memorandum												
World Output (percent)	**3.6**	**2.9**	**-4.9**	**5.4**	**-1.9**	**-0.3**						

Source: IMF staff estimates and projections.

Note: All country averages are weighted by nominal GDP converted to US Dollars (adjusted by purchasing power parity only for world output) at average market exchange rates in the years indicated and based on data availability. Projections are based on IMF staff assessments of current policies. In many countries, 2020 data are still preliminary. For country-specific details, see "Data and Conventions" and Tables A, B, C, and D in the April 2020 Fiscal Monitor Methodological and Statistical Appendix. MENAP = Middle East, North Africa, and Pakistan; WEO = World Economic Outlook.

1. For cross-country comparability, expenditure and fiscal balances of the United States are adjusted to exclude the imputed interest on unfunded pension liabilities and the imputed compensation of employees, which are counted as expenditures under the 2008 System of National Accounts (2008 SNA) adopted by the United States but not in countries that have not yet adopted the 2008 SNA. Data for the United States in this table may thus differ from data published by the US Bureau of Economic Analysis.

2. Including financial sector support.

3. For cross-economy comparability, gross debt levels reported by national statistical agencies for countries that have adopted the 2008 System of National Accounts (Australia, Canada, Hong Kong SAR, United States) are adjusted to exclude unfunded pension liabilities of government employees' defined-benefit pension plans.

4. Gross debt refers to the nonfinancial public sector, excluding Eletrobras and Petrobras, and includes sovereign debt held by the central bank.

Appendix 4: OPEC Projections

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Economic growth rate

per cent

	World	OECD	US	Euro-zone	Japan	China	India
2020	–3.7	–6.1	–5.2	–8.0	–5.1	1.3	–2.5
2021	4.7	4.0	4.1	4.3	3.2	6.9	6.8

Supply and demand

mb/d

2020		**20/19**	**2021**		**21/20**
World demand	90.7	–8.9	World demand	97.7	7.0
Non-OPEC liquids production	61.8	–3.3	Non-OPEC liquids production	62.7	0.9
OPEC NGLs	5.2	–0.1	OPEC NGLs	5.2	0.1
Difference	**23.8**	**–5.6**	**Difference**	**29.8**	**6.0**

Appendix 4: OPEC Projections (Continued)

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World oil demand in 2020 and 2021

Table 4 - 1: World oil demand in 2020*, mb/d

	2019	1Q20	2Q20	3Q20	4Q20	2020	Change 2020/19 Growth	%
World oil demand								
Americas	25.62	24.44	19.27	24.39	25.06	23.30	-2.31	-9.04
of which US	*20.81*	*19.86*	*15.51*	*20.04*	*20.49*	*18.99*	*-1.82*	*-8.76*
Europe	14.33	13.30	10.19	13.25	13.61	12.59	-1.74	-12.13
Asia Pacific	7.93	7.73	6.43	6.64	7.46	7.06	-0.87	-10.92
Total OECD	47.88	45.47	35.89	44.29	46.13	42.96	-4.92	-10.28
Other Asia	13.87	13.05	11.90	12.40	13.67	12.76	-1.11	-8.01
of which India	*4.84*	*4.74*	*3.70*	*3.94*	*4.83*	*4.31*	*-0.54*	*-11.10*
Latin America	6.59	6.20	5.81	6.24	6.15	6.10	-0.49	-7.47
Middle East	8.20	7.83	7.01	7.93	7.62	7.60	-0.60	-7.36
Africa	4.45	4.38	4.17	4.07	4.20	4.20	-0.24	-5.49
Total DCs	33.11	31.46	28.88	30.65	31.64	30.66	-2.45	-7.40
FSU	4.84	4.50	4.08	4.45	4.61	4.41	-0.43	-8.94
Other Europe	0.76	0.71	0.55	0.47	0.56	0.57	-0.19	-25.18
China	13.07	10.27	12.55	12.37	13.28	12.12	-0.95	-7.29
Total "Other regions"	18.68	15.48	17.17	17.29	18.46	17.10	-1.58	-8.45
Total world	99.67	92.41	81.95	92.22	96.22	90.72	-8.95	-8.98
Previous estimate	99.67	92.39	81.30	92.28	96.30	90.59	-9.07	-9.10
Revision	0.00	0.02	0.65	-0.06	-0.08	0.13	0.13	0.13

*Note: * 2019 = Estimate and 2020 = Forecast. Totals may not add up due to independent rounding.*
Source: OPEC.

Appendix 4: OPEC Projections (Continued)

Bridgepath Capital
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Table 4 - 2: World oil demand in 2021*, mb/d

	2020	1Q21	2Q21	3Q21	4Q21	2021	Change 2021/20 Growth	%
World oil demand								
Americas	23.30	24.84	24.65	25.46	25.57	25.14	1.84	7.89
of which US	*18.99*	*20.48*	*19.92*	*20.74*	*20.86*	*20.50*	*1.52*	*8.00*
Europe	12.59	13.72	13.54	14.03	13.91	13.80	1.21	9.59
Asia Pacific	7.06	7.90	7.34	7.19	7.69	7.53	0.47	6.59
Total OECD	42.96	46.47	45.53	46.67	47.17	46.47	3.51	8.18
Other Asia	12.76	13.68	14.05	13.67	14.45	13.96	1.21	9.47
of which India	*4.31*	*5.27*	*4.68*	*4.75*	*5.48*	*5.05*	*0.74*	*17.20*
Latin America	6.10	6.31	6.47	6.44	6.38	6.40	0.30	4.92
Middle East	7.60	8.01	7.74	8.24	7.87	7.97	0.37	4.86
Africa	4.20	4.47	4.35	4.27	4.39	4.37	0.17	3.93
Total DCs	30.66	32.47	32.61	32.63	33.09	32.70	2.04	6.66
FSU	4.41	4.64	4.54	4.62	4.74	4.64	0.23	5.13
Other Europe	0.57	0.79	0.68	0.59	0.68	0.68	0.11	19.58
China	12.12	11.88	13.57	13.40	14.03	13.22	1.10	9.09
Total "Other regions"	17.10	17.31	18.79	18.61	19.45	18.54	1.44	8.42
Total world	90.72	96.25	96.93	97.92	99.71	97.72	7.00	7.71

*Note: * 2020-2021 = Forecast. Totals may not add up due to independent rounding.*
Source: OPEC.

Appendix 5: AfDB Projections

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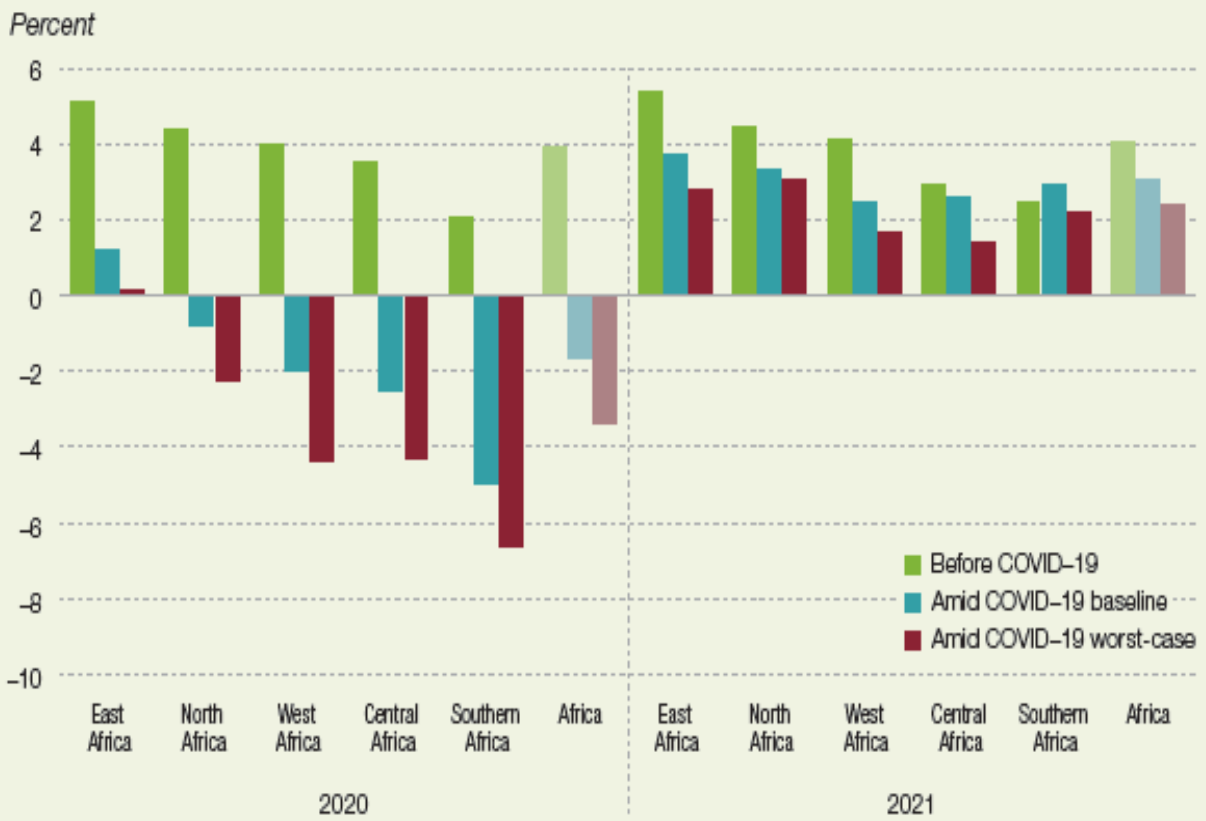
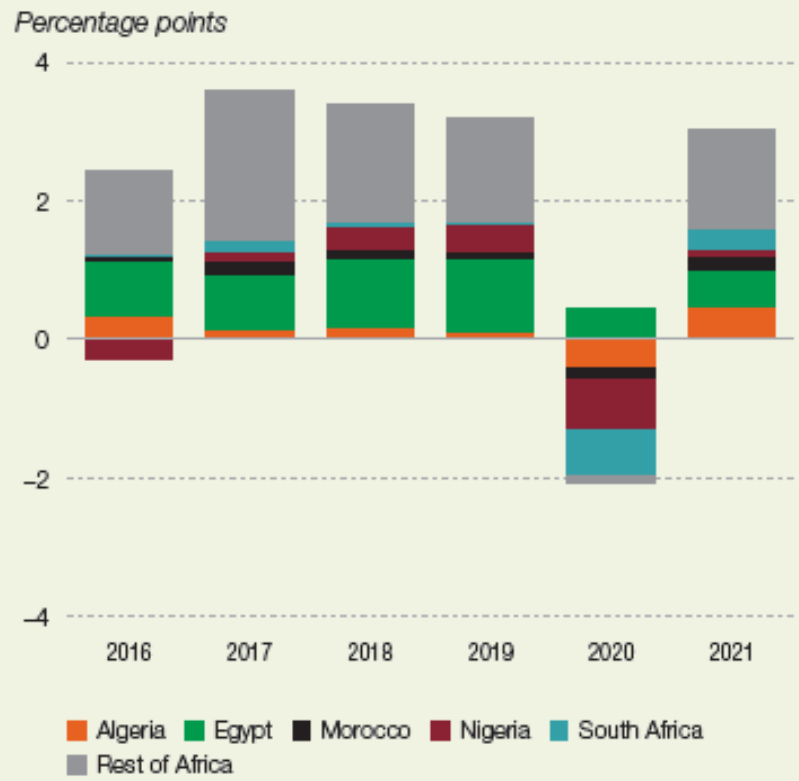
FIGURE 1.5 Growth's decline and recovery vary across regions



Source: African Development Bank statistics.

FIGURE 1.6 Growth's contraction is primarily driven by the five largest economies



Source: African Development Bank statistics.

Appendix 5: AfDB Projections (Continued)

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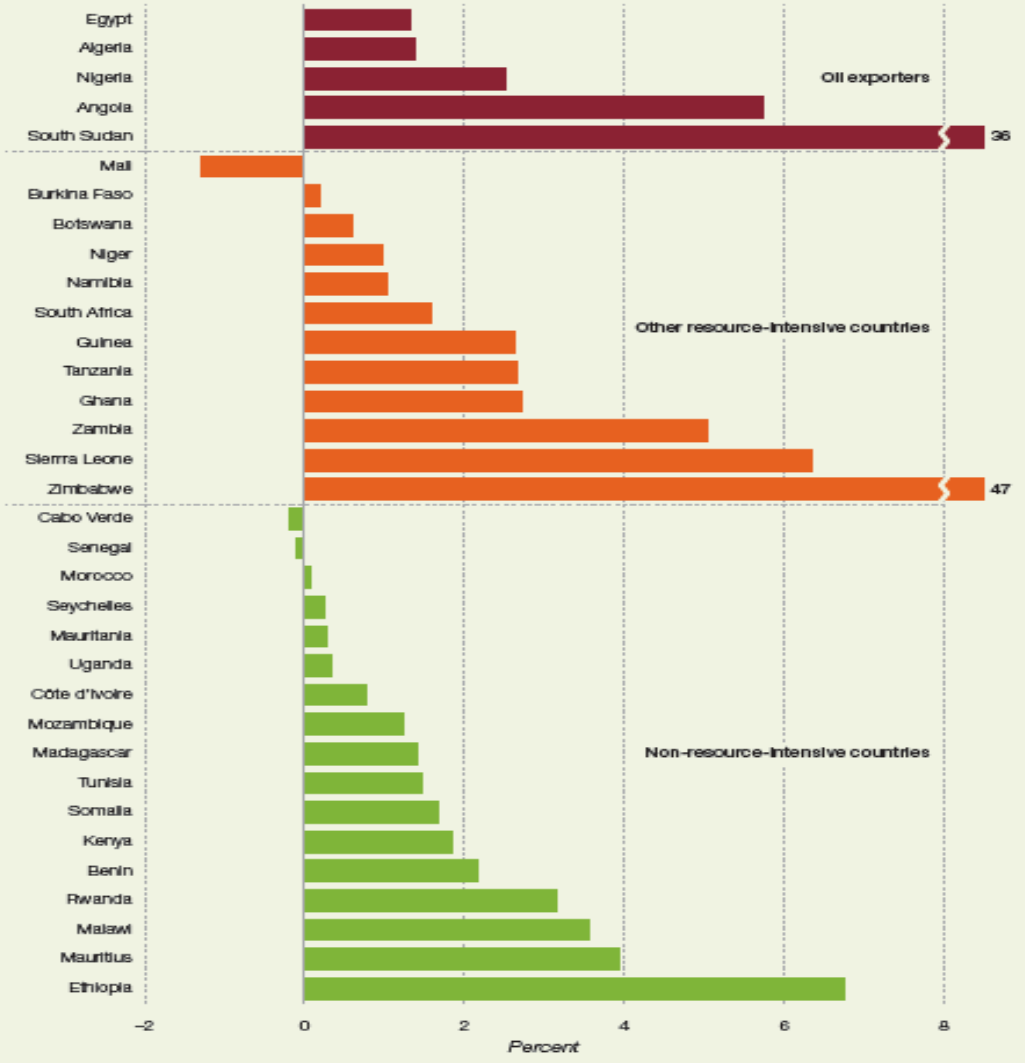
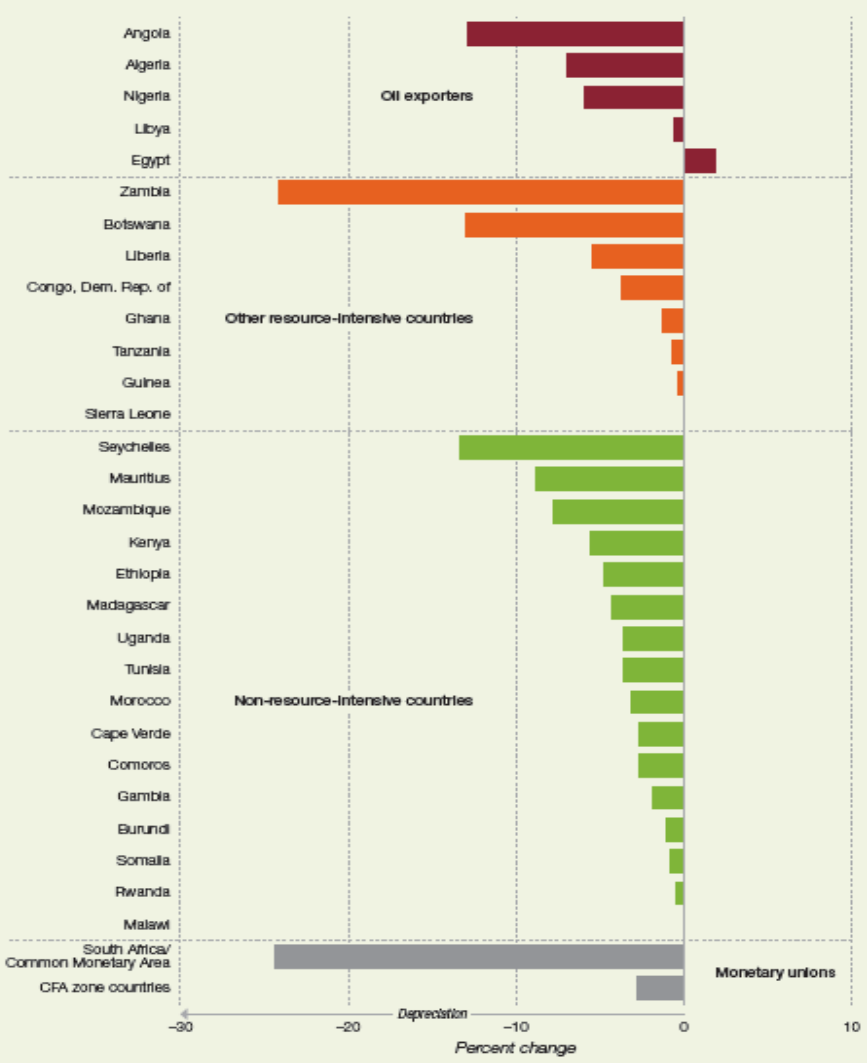
FIGURE 1.7 The pandemic has already triggered inflation



Note: Changes in consumer price index, from December 2019 to March 2020.
Source: African Development Bank statistics.

FIGURE 1.8 Currency depreciations have been sharper in frontier economies



Note: Data as of 28 April 2020.
Source: African Development Bank statistics.

Appendix 5: AfDB Projections (Continued)

Bridgepath Capital
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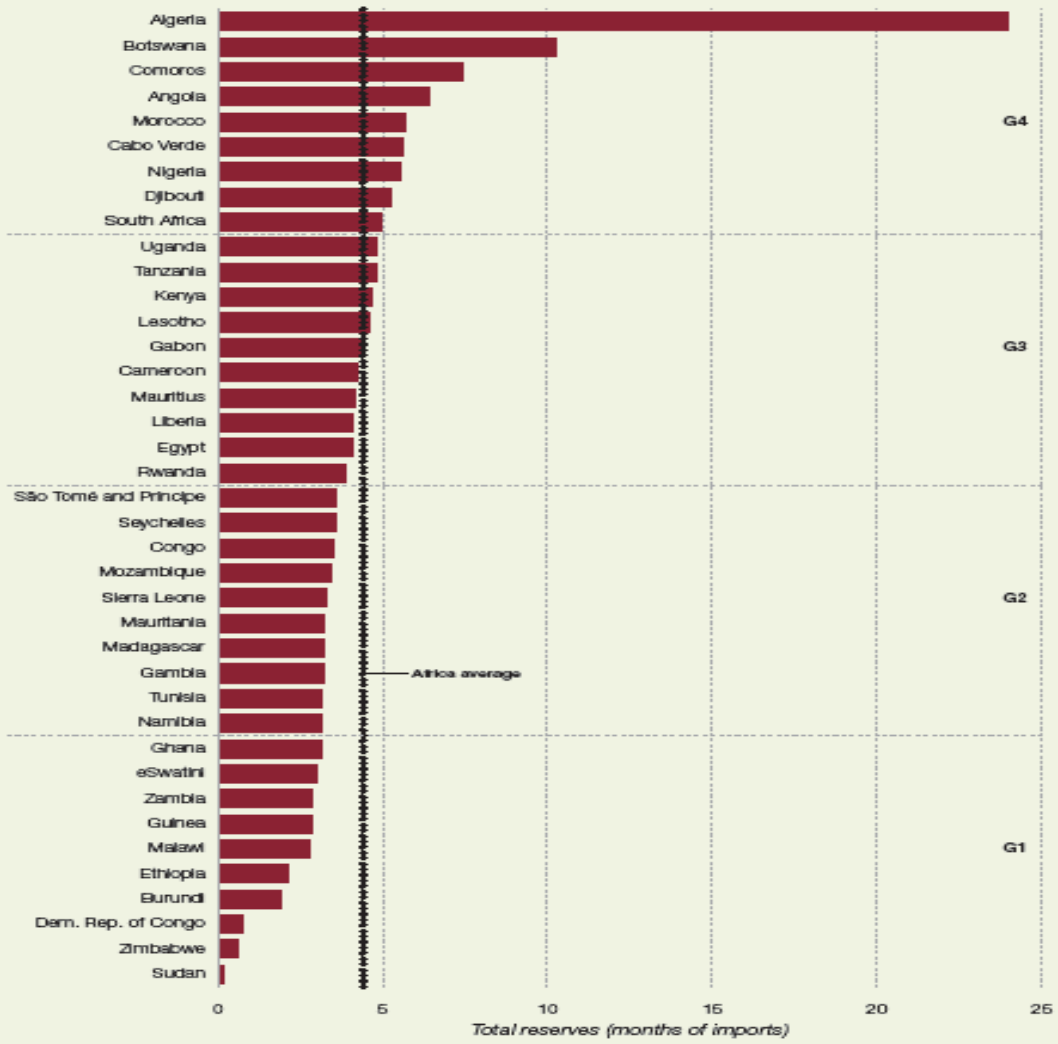
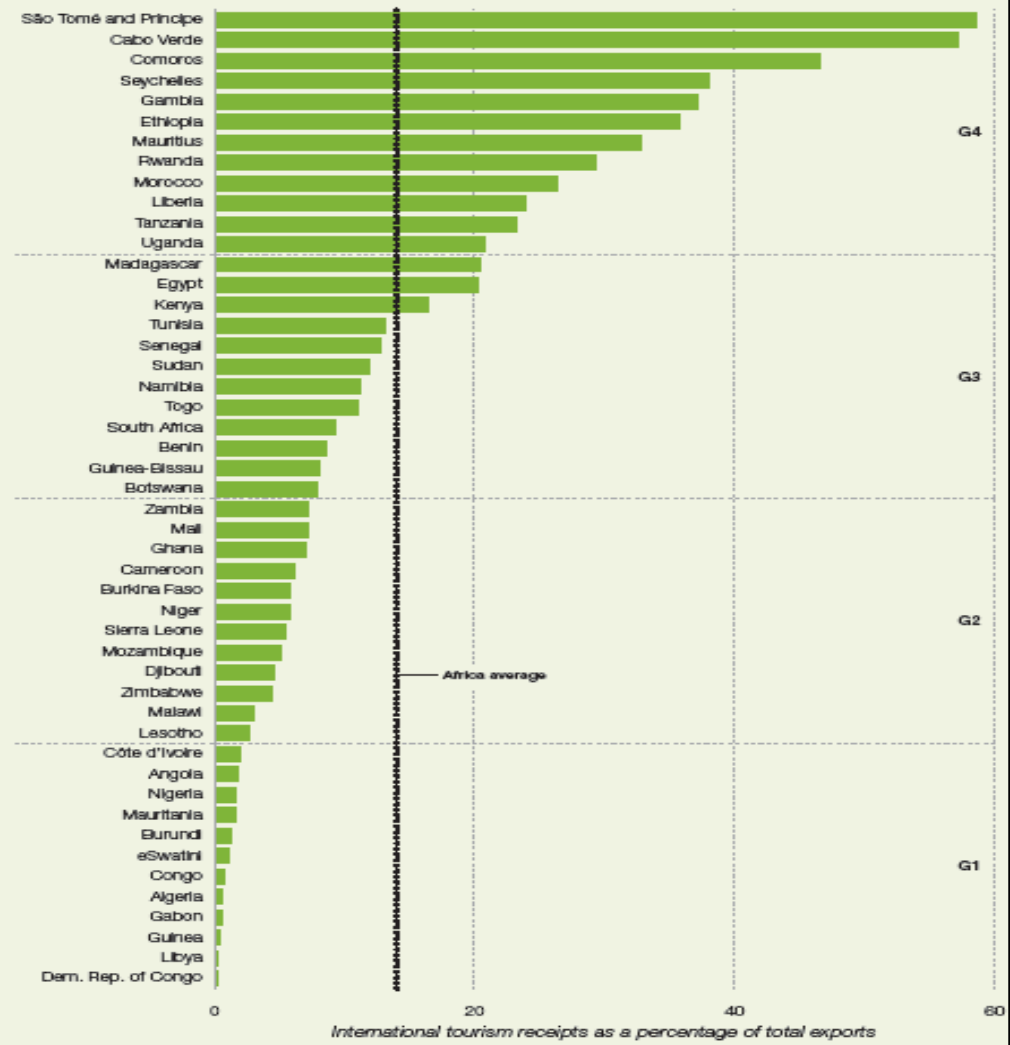
FIGURE 2.6 Countries with low external reserves will have limited room to import medical products



Note: G1–G4 are quartiles.
Source: Staff computations using data from the World Development Indicators database.

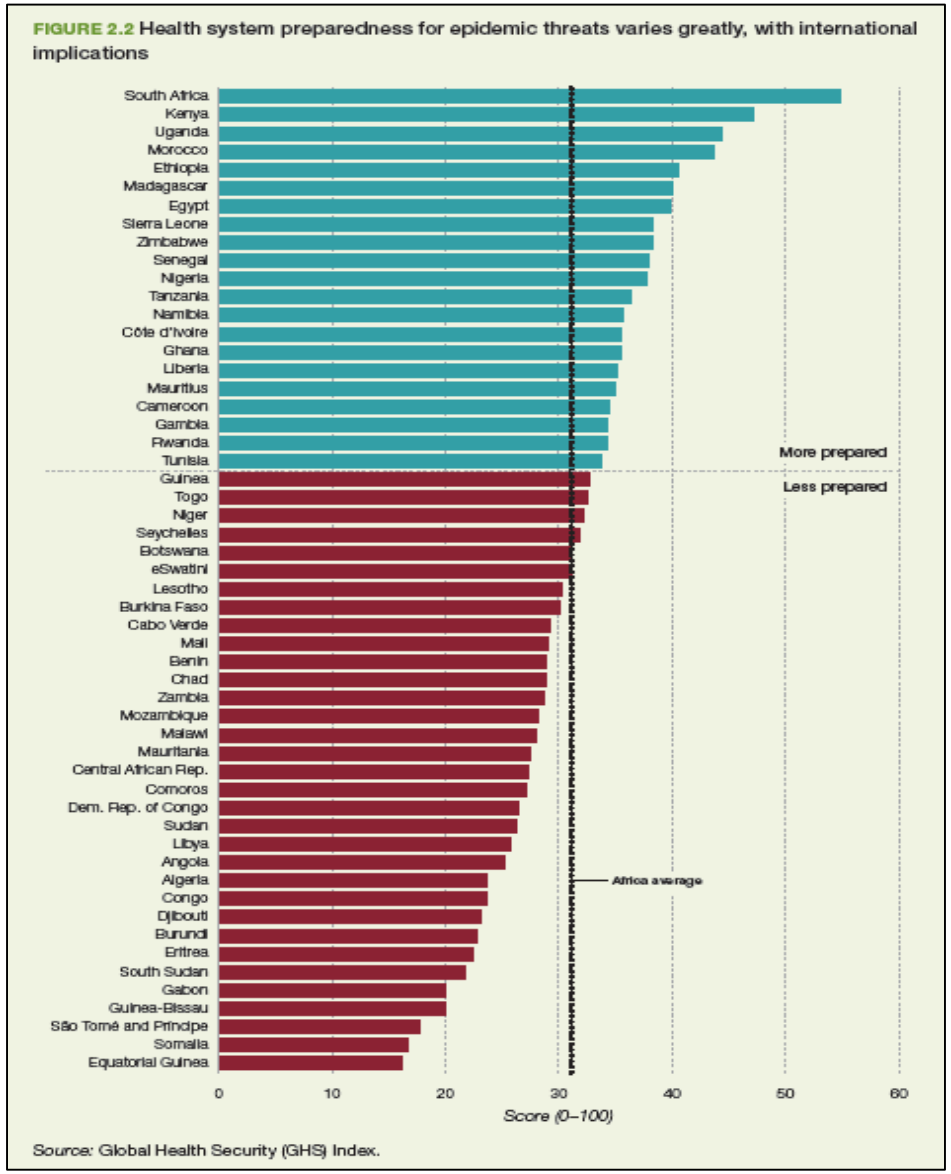
FIGURE 2.5 Countries highly dependent on tourism will be more vulnerable



Note: G1–G4 are quartiles.
Source: Staff computations using data from the World Development Indicators.

Appendix 5: AfDB Projections (Continued)

Bridgepath Capital
Invest to Achieve



Africa's GDP

Africa's GDP is projected to contract due to the COVID-19 pandemic. The graph below shows the GDP from 2011 to 2021.

Appendix 6: Malawi monthly maize market report

Bridgepath Capital
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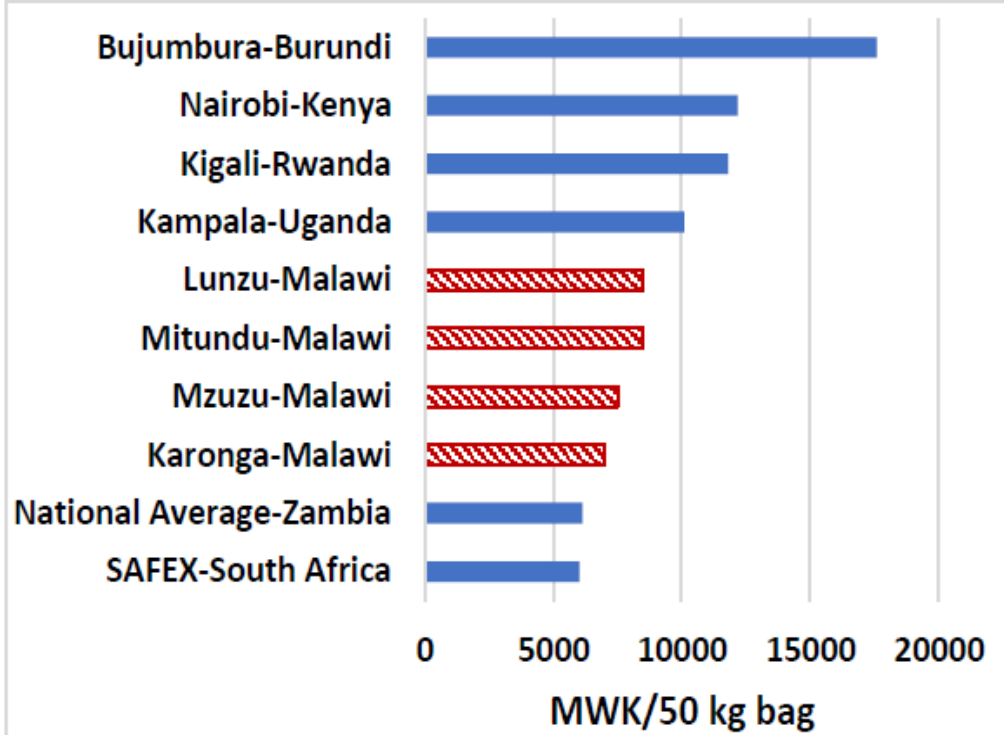
Table 1. Maize retail prices (MWK/kg) by market

Market	4-Jul-20	11-Jul-20	18-Jul-20	25-Jul-20	31-Jul-20	Change
Chitipa	133	140	120	137	140	5%
Karonga	173	140	140	140	140	-19%
Rumphi	165	157	153	165	165	0%
Mzuzu	150	150	150	143	150	0%
Mzimba	148	147	143	143	143	-3%
Jenda	140	123	130	133	133	-5%
Salima	160	173	163	177	177	10%
Mchinji	170	160	160	160	160	-6%
Nsungwi	177	170	160	160	170	-4%
Mitundu	170	170	163	167	170	0%
Chimbiya	140	145	145	145	145	4%
Balaka	170	170	167	173	173	2%
M'baluku	173	180	190	190	190	10%
Mangochi	183	180	180	187	183	0%
Liwonde	180	180	200	200	200	11%
Chiringa	180	180	200	200	200	11%
Mpondabwino	197	197	197	197	197	0%
Lunzu	165	165	165	170	170	3%
Mbayani	180	180	180	200	200	11%
Mwanza	200	187	193	193	193	-3%
Mulanje	200	200	200	200	200	0%
Luchenza	200	200	200	200	200	0%
Chikwawa	200	200	200	200	200	0%
Ngabu	190	190	180	180	180	-5%
Bangula	223	170	167	180	180	-19%
Nsanje	193	197	200	200	200	3%
All markets	**175**	**171**	**171**	**175**	**175**	**0%**

Figure 3. Retail maize prices in selected markets in eastern and southern Africa (as of end of July 2020)



Note: Price for Mozambique is as of June 2020.

Appendix 7: Monthly Economic Review for June 2020 - Central Government Budgetary Operations (K'Billions)

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Category	2019								2020					
	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun
Total Revenues	**100.0**	**132.7**	**97.3**	**86.4**	**110.1**	**98.8**	**83.9**	**135.2**	**110.4**	**89.4**	**119.6**	**112.8**	**78.6**	**106.7**
Domestic Revenues	86.4	85.1	94.6	81.4	100.9	90.5	77.2	116.8	104.6	73.5	109.4	88.0	76.0	97.8
Tax Revenue	81.8	78.5	88.9	77.8	93.3	87.2	71.2	110.4	101.7	68.8	90.1	82.9	73.0	81.4
Non Tax revenue	4.6	6.6	5.7	3.6	7.6	3.3	6.0	6.3	2.9	4.7	19.2	5.1	3.1	16.4
Departmental receipts	4.0	3.2	3.8	3.0	4.7	2.4	5.4	5.7	1.8	4.4	2.4	3.0	2.8	1.3
Other Receipts	0.6	3.4	2.0	0.6	2.9	0.9	0.6	0.7	1.1	0.3	16.9	2.1	0.3	15.1
Grants	13.5	47.6	2.6	5.0	9.2	8.3	6.6	18.4	5.8	15.9	10.3	24.8	2.6	8.9
Total Expenditures	**131.0**	**77.8**	**131.4**	**127.5**	**127.7**	**111.7**	**109.9**	**169.1**	**125.2**	**151.3**	**154.5**	**175.7**	**133.9**	**140.1**
Recurrent Expenditure	110.9	61.5	118.5	113.4	113.8	96.9	99.5	148.4	112.3	124.6	127.5	145.7	117.3	107.9
Interest Payments	35.7	15.7	12.1	13.5	39.0	25.3	22.9	5.7	22.3	9.2	39.1	29.3	24.5	18.4
Domestic	35.6	15.6	12.0	12.1	36.7	23.3	22.1	4.7	22.1	8.0	36.3	27.4	24.0	17.8
Foreign	0.1	75.7	0.0	1.4	2.3	2.0	0.9	1.0	0.2	1.2	2.8	1.9	0.5	0.6
Development	20.1	16.3	12.9	14.1	14.0	14.7	10.3	20.7	12.9	26.7	27.0	30.0	16.6	32.2
Deficit/Surplus	**-31.1**	**54.9**	**-34.1**	**-41.1**	**-17.7**	**-12.9**	**-26.0**	**-33.9**	**-14.7**	**-61.9**	**-34.8**	**-62.9**	**-55.3**	**-33.4**
Financing (net)	55.0	-22.2	2.2	29.11	47.2	-1.7	43.3	11.4	11.0	56.8	60.0	62.0	58.6	55.8
Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic	55.0	-22.2	-2.2	29.1	47.2	-1.7	43.3	11.4	11.0	56.8	60.0	62.0	58.6	55.8
Banking System	60.2	-17.4	-41.4	67.4	65.0	15.5	13.3	-107.8	41.6	53.7	13.1	62.2	76.9	72.6
Non-Bank Sector	-5.1	5.0	39.2	-38.3	-17.8	-17.2	30.0	119.3	-30.6	3.0	46.9	-0.2	-18.3	-16.7
Errors and Omissions	23.9	32.7	-36.3	-12.0	29.5	-14.6	17.3	-22.5	-2.8	-2.9	25.1	-0.9	3.3	22.5

Source: Reserve Bank of Malawi

Disclaimer

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